

**ENVIRONMENTAL & SOCIAL
MANAGEMENT SYSTEM
(ESMS.V0)**

(MAIN VOLUME)

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**PARSONS NUTRITIONALS
PRIVATE LIMITED**

Environmental and Social Management System

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I hereby approve the Environmental & Social Management System (ESMS) for Parsons Nutritionals Private Limited (PNPL). This manual will help PNPL in managing Environmental and Social (E&S) issues appropriately within the context of Environment Health Safety and Social (EHS&S) Policy of the Company to accelerate the journey of continual improvement.

Any revision of this document shall be duly approved by the undersigned.

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Date: 1st March 2024

.....

(Name & Designation)

Below table will track all revisions and updates made in this manual from time to time.

Revision History				
Version Number	Description of Amendment	Effective Date	Issued By	Approved By

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DEFINITIONS

Terms	Description
Business Partners	Commercial entities (especially FMCG Multinational Brands) with whom PNPL (or its subsidiaries) enters into legal agreement for manufacturing and packaging of their products (as per their specifications). Business Partners can be synonymously termed as client in the ESMS.
Contract Manufacturing	Contract manufacturing is a process when one company (PNPL or subsidiaries, in this case) enters into a legal agreement with another company (business partner in this case), to manufacture products as per the specifications provided by the latter over a specific timeframe.
Consumer(s)	The term Consumer(s) in perspective of this ESMS is defined as individuals that consume products (under the brand of business partners) manufactured by PNPL and its subsidiaries, that is intended for or required by the individual.
Contractors	Any third-party agency engaged directly by PNPL for providing manpower (contractual workforce) at any of its facilities for various types of services for the Company's operations (construction or operational phase).
Contractual Workforce	Workers hired by third-party agencies (contractors) and deployed at PNPL facilities for performing various types of services for the Company such as housekeeping, security services, loading/unloading activities etc.
Employee(s)	The term "Employee" or "Employees" in perspective of this ESMS is defined as any person engaged directly under payroll of PNPL or its subsidiaries.
GIIP	Good International Industry Practice is defined as the exercise of professional skill, diligence, prudence and foresight that would be reasonably expected from skilled and experienced professionals engaged in the same type of undertaking under the same or similar circumstances globally. The circumstances that skilled and experienced professionals may find when evaluating the range of pollution prevention and control techniques available to a project may include, but are not limited to, varying levels of environmental degradation and environmental assimilative capacity as well as varying levels of financial and technical feasibility.
Grievance	A 'Grievance' is a concern or complaint raised by an individual or group, expressing dissatisfaction about an action or lack of action, about the standard of service/ deficiency of service from the Company and its associations, or asking for remedial actions.
Incident	An incident, of any social, labour, health and safety, security or environmental nature, accident or circumstance (including, without limitation, any explosion, spill or workplace accident which results in death, serious or multiple injuries or material environmental contamination, any violent labour unrest or dispute with local communities) occurring at PNPL facilities having, or which could reasonably be expected to have, any material adverse social and/or environmental impact or any material adverse impact on the implementation or operation of PNPL.

Internal Grievance	Concerns raised by internal stakeholders, i.e., employees/workers engaged with PNPL.
External Grievances	Concerns raised by external stakeholders such as customers, visitors, vendors/suppliers/contractors, general public, local community, investors, government authorities, media, NGOs/activist groups, etc., affected by PNPL.
KPIs	KPI refers to the set of measurable values used to gauge Company's overall long-term performance and demonstrates how effectively a company is achieving key business objectives.
Stakeholder	"Stakeholder" is people or groups who are directly or indirectly affected by a company's operations as well as those who may have interests in a company's business and/or the ability to influence its outcome, either positively or negatively. Stakeholders may include contractors, investors, consumers, business partners, national or local government authorities and agencies, civil society organizations and groups with special interests, or other businesses.
Stakeholder Engagement	"Stakeholder Engagement" is a process by which an organization learns about the perceptions, issues and expectations of its stakeholders and uses these views to assist in managing, supporting and influencing any planned changes/improvements in business.

LIST OF ACRONYMS

ADB	Asian Development Banks
AIIB	Asian Infrastructure Investment Bank
BIL	Britannia Industries Limited
BOD	Biochemical oxygen demand
COD	Chemical Oxygen Demand
CSR	Corporate Social Responsibility
CTC	Cost to Company
DG	Diesel Generator
E&S	Environment and Social
EHS	Environment Health & Safety
EHSS	Environment, Health, Safety and Social
EMQR	External Manufacturer and Co-Packer Quality Requirements
EPR	Emergency Preparedness and Response
ERM	ESMS Review Meeting
ESI	Employees State Insurance
ESMS	Environmental and Social Management System
ETP	Effluent Treatment Plant
FMCG	Fast Moving Consumer Goods
FoF	Fund of Funds
FSMS	Food Safety Management System
FSSC	Food Safety System Certification
GAD	Gender and Development
GHG	Green House Gas
GIIP	Good International Industry Practice
GMP	Good Manufacturing Practices
GoI	Government of India
GRC	Grievance Redressal Committee
GRM	Grievance Redressal Mechanism
GSK	Glaxo Smith Kline
HACCP	Hazard Analysis Critical Control Point
HIRA	Hazard Identification and Risk Assessment
HR	Human Resources

HUL	Hindustan Unilever Limited
HVAC	Heating, ventilation, and air conditioning
IFC	International Finance Corporation
ILO	International Labour Organization
IP	Indigenous People
IPQA	In Process Quality Assurance
IR	Involuntary Resettlement
ISO	International Standards Organization
IT	Information Technology
KPI	Key Performance Indicator
MoM	Minutes of Meeting
NGOs	Non-Governmental Organisations
NIIFL	National Investment and Infrastructure Fund Limited
OEM	Original Equipment Manufacturers
OHS	Occupational Health and Safety,
OSHAS	Occupational Health and Safety Assessment Specification
PAPs	Project Affected Peoples
PDCA	Plan-Do-Check-Act
PF	Provident Fund
PNPL	Parsons Nutritionals Private Limited
POSH	Prevention of Sexual Harassment
PS	Performance Standards
QA	Quality Assurance
QC	Quality Control
QMS	Quality Management System
QP	Qualified Person
RASCI	Responsible, Accountable, Support, Consulted and Informed
SASB	Sustainability Accounting Standards Board
SDGs	Sustainable Development Goals
SEP	Stakeholder Engagement Plan
SPS	Safeguard Policy Statement
TDS	Total Dissolved Solvent
WHO	World Health Organisation

1. INTRODUCTION

1.1. ABOUT PNPL

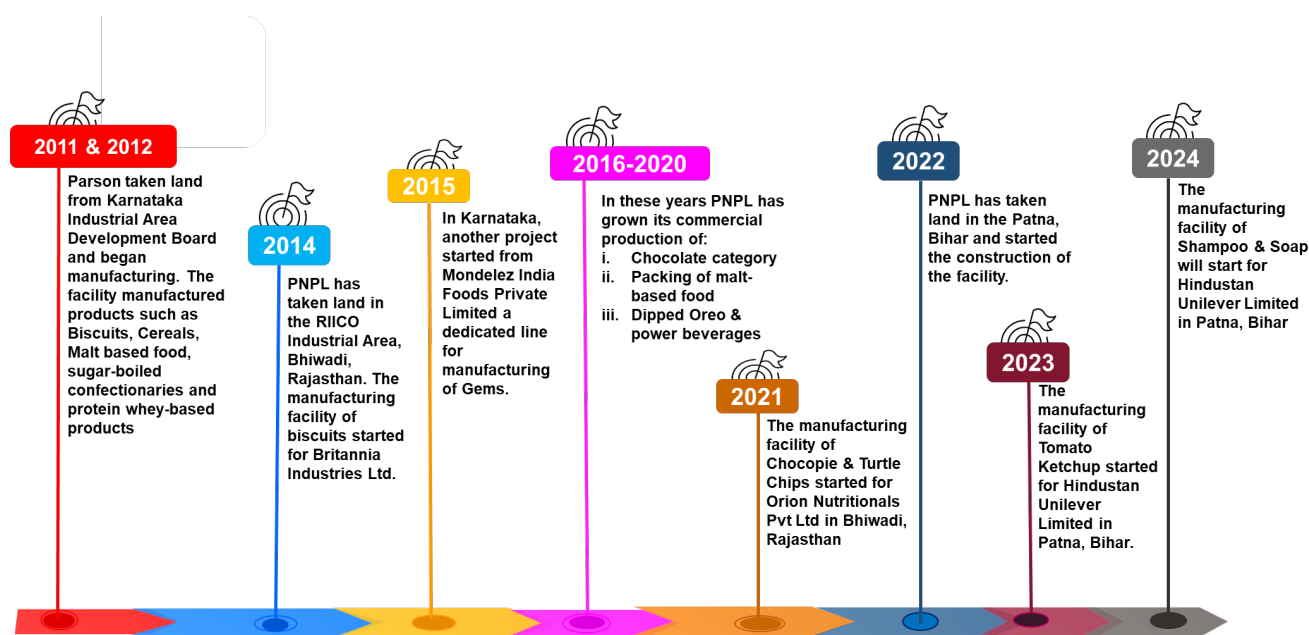
Parsons Nutritionals Private Limited, including its subsidiaries namely Parmann Nutritionals Private Limited and Swaji Nutritionals Private Limited (hereinafter collectively referred to as “PNPL” or “Company”) was incorporated on 18 April 2002 and registered under the Registrar of Companies, Delhi. PNPL operates as a contract manufacturer of processed food products for some well-known brands/multinational corporations in the FMCG sector. More information about PNPL’s business partners and products is covered later in this section.

PNPL is promoted by Mr. Swapandeep Mann and Mr. Sukhbir Mann, who have more than two decades of experience in food processing industry. PNPL currently employs approximately 2500 people, including 1800 contract workers which are hired through licensed contractors. Being a contract manufacturer, PNPL procures raw materials from the suppliers which are recommended by their clients. However, given that PNPL’s clients are multinational companies, the supply chain resource efficiency, sustainability and social compliance plays an important role in supplier selection.

Some of the products manufactured by PNPL and its subsidiaries include biscuits, choco-pie, food powder, beverages, nutraceuticals.

PNPL’s journey over the years is provided below:

Figure 1: Journey of PNPL



Currently, PNPL has manufacturing facilities at following locations:

Table 1: PNPL Facility Locations

Sr. No.	Name of the facility	Total Area	State	Ownership status	Address
1	Registered & Head Office of Parsons Nutritionals Pvt. Ltd. and its subsidiaries	1500 sq. ft	New Delhi	Leased	Plot No. 37, Second Floor, Block-Bd, Gali No. 14, Faiz Road, Karol Bagh, New Delhi -110005
2	Parsons Nutritionals Pvt. Ltd., Bengaluru Plant (corporate level E&S aspects)	11.15 acre	Karnataka	Purchased	2 nd Phase Harohalli KIADB Industrial Area, in Kanakapura Taluk, Ramanagara, Karnataka.

	are being driven from this facility)				
3	Parsons Nutritionals Pvt. Ltd., Sahibabad Plant	8.2 acre	Uttar Pradesh	Leased	23, Link Road, Industrial Area Sahibabad, Sahibabad, Ghaziabad, Uttar Pradesh.
4	Parsons Nutritionals Pvt. Ltd., Bhiwadi Plant	14.7 acre	Rajasthan	Leased	RIICO Industrial Area, Village Karoli, PO Bhiwadi, Alwar District, Rajasthan.
5	Parmann Nutritionals Pvt. Ltd., Patna Plant (100% subsidiary of PNPL)	29.8 acre	Bihar	Purchased	Lalganj Fakuli Road (Near Railway Crossing) Village Kowa Mohabbatpur, PO Lalganj, Vaishali, Bihar.
6	Swaji Nutritionals Pvt. Ltd., Bangaluru Plant (100% subsidiary of PNPL)	7.8 acre	Karnataka	Purchased	Medamaranahalli Village, Harholli Taluk, Harohalli Industrial Area, Ramanagara, Karnataka.

Note: PNPL facilities are located in industrial and commercial areas and are leased out to the Company or have been bought from single seller and his/her family on willing buyer-willing seller basis.

PNPL has marked its presence in the manufacturing services that have benefited many MNCs in India. It has helped the business partners to handle complicated, mechanically-aided manufacturing operations of FMCG products. PNPL provides high class hygienic standards as per requirement of business partners, hence ensuring better food safety. PNPL adheres to the Industry and Regulatory standards, including International Standards Organization (ISO), Good Manufacturing Practices (GMP).

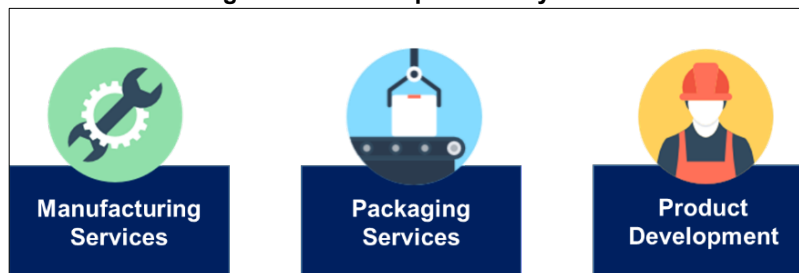
Core Strengths of PNPL

- ✚ Professional Management with qualified personnel at all key positions.
- ✚ Complete decentralized and empowered team to ensure accountability and smooth operation.
- ✚ Focus on continuous improvements, process up-gradation and training.
- ✚ In-house project execution through team of project managers and supporting engineers.
- ✚ Transparent & ethical working.
- ✚ Corporate compliance- strong ethic of compliance to all laws, rules and regulations. Provide fair employment without any discrimination.
- ✚ Continuous focus on employees and their health & safety with eco-friendly operations and training.

1.2. BUSINESS MODEL OF PNPL

PNPL being a "manufacturing service provider" provides the following services to its business partners:

Figure 2: Services provided by PNPL

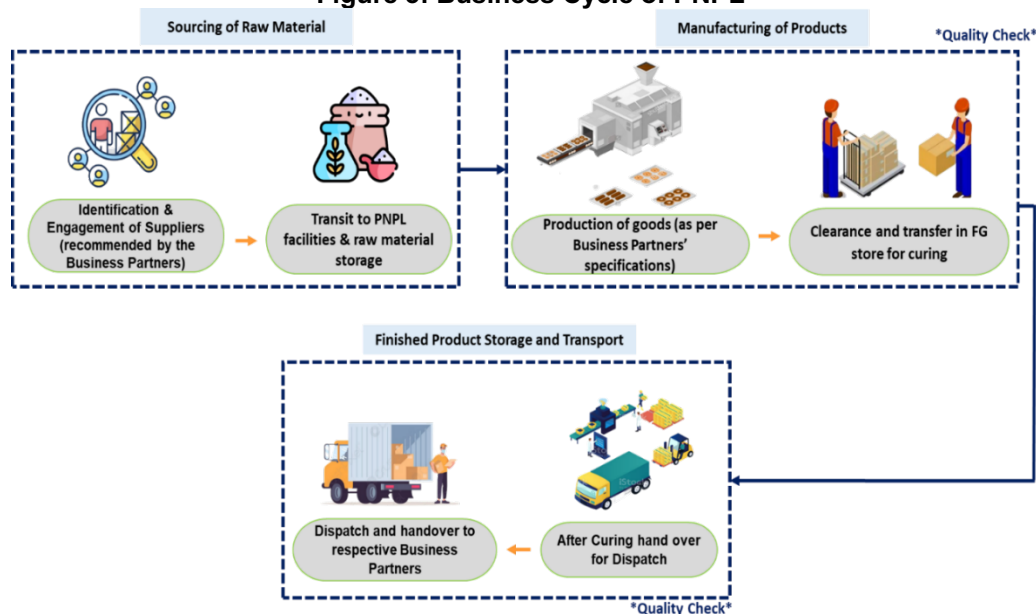


The Company takes utmost care to pack the products well so that they reach the retailer and the final consumer, in a completely fresh and undamaged condition and as per the demand of the business partners. Further, the

Company has skilled researchers and a development team of people, who along with the researchers of business partners use their immense technical knowledge to bring the most innovative methods to come up with best and safe food products. Beside this, PNPL maintains client confidentiality religiously, so the trust quotient remains intact.

The major stages in the business operations of PNPL is presented in **Figure 3**, which comprises of raw material sourcing, storage, production of products, and finished product storage and dispatch.

Figure 3: Business Cycle of PNPL



Products Manufactured by PNPL

The Company's key clients include GlaxoSmithKline Consumer Healthcare Limited (GSK), Britannia Industries Ltd. (BIL), ITC Ltd., Mondelez International, Hindustan Unilever Limited (HUL), Orion India Pvt. Ltd, among others. A brief description of all the product of different business partners manufactured by PNPL is given below: -

Table 2: List of Products Manufactured

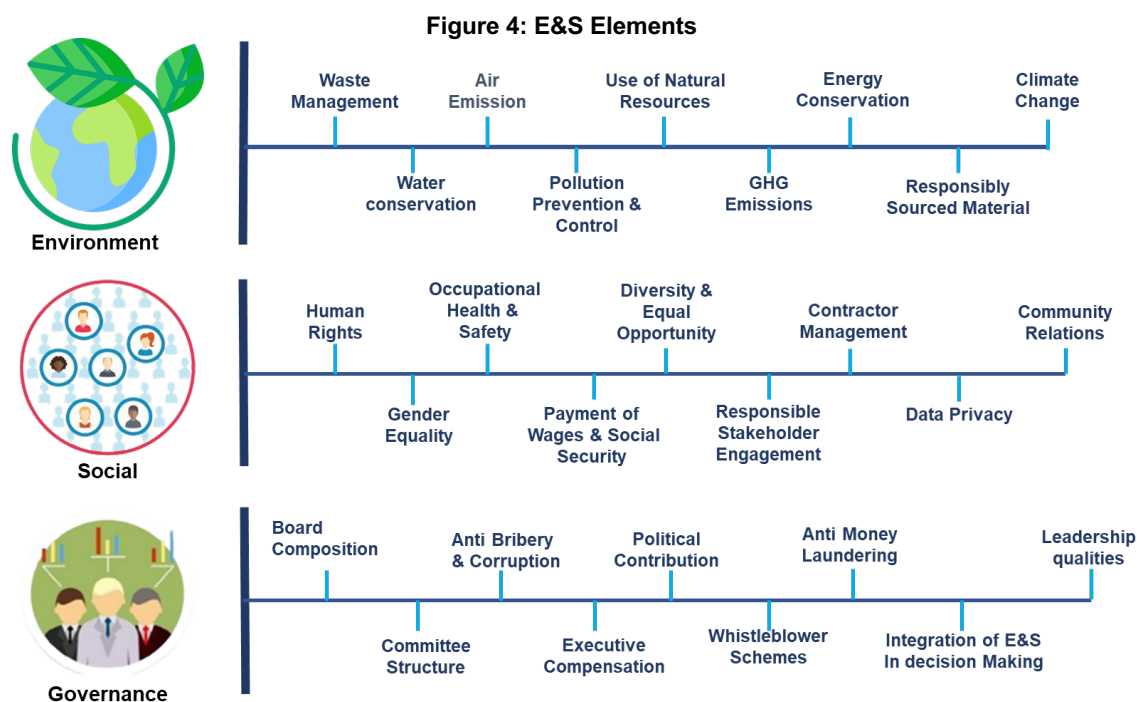
Business Partners	Name of Product Manufactured
 Hindustan Unilever Limited	 Horlicks Biscuits, Boost Biscuits, Horlicks rolled Oats
 Mondelez India Foods Private Limited	 Cadbury Oreo Biscuit, Cadbury enrobed Biscuits, Bourn Vita Biscuit, Cadbury Gems, Dairy Milk
 Britannia Industries Limited	 Britannia Good day, Britannia Milk Bikes, Britannia Tiger Biscuits
 Meiji India Private Limited	 Meiji Yan Yan Biscuits

	
Danone Foods And Beverages India Private Limited	Powder, Beverage Manufacturing
	
Sai Sure Nutritionals LLP	Powder, Beverage Manufacturing
	
Orion Nutritionals Pvt Ltd	Choco Pie

1.3. ABOUT ESMS

Environmental and Social Management System (ESMS) provides a systematic procedure to check businesses for potential Environment, Health, Safety and Social (EHSS) impacts to ensure that gaps in the system are identified and corrective actions are implemented to mitigate the negative impacts and stimulate positive impacts.

E&S elements along with the governance aspects include the following:



Purpose of the document

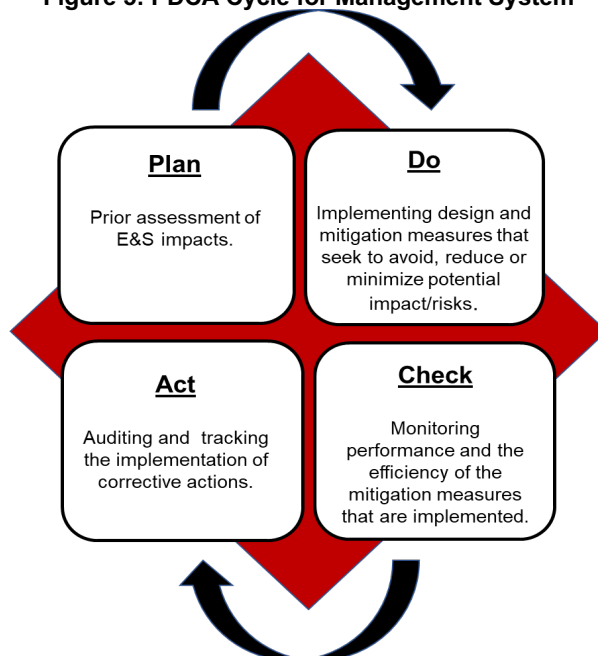
PNPL has developed this ESMS manual as part of the requirements to secure investment from Lighthouse Fund IV AIF (Lighthouse) and other investors. This ESMS manual aims to align PNPL's operations with Lighthouse's ESMS and other investors' E&S requirements, aiming to mitigate potential environmental and social impacts stemming from the operations of PNPL.

PNPL shall implement those actions identified in the Environment & Social Due Diligence (ESDD) and Environment & Social Corrective Action Plan (ES CAP) and those actions required to undertake the operations of PNPL in compliance with the applicable local, state level and national level E&S regulations as well as other international E&S frameworks and standards (mentioned in detail later in this document) and PNPL shall periodically review and advise investors as to whether in light of any changes to the operations of PNPL, or in light of additional environmental or social risks identified in the operations of Company, any additional measures are needed.

Accordingly, this ESMS manual is developed and adopted as a corporate level guiding document by PNPL, to integrate EHSS considerations and objectives into its business operations and decision-making process. The manual outlines set of structured and standardized policies, plans & procedures to avoid, eliminate, off-set, or reduce EHSS risks/impacts resulting from business operations to acceptable levels, and to achieve E&S benefits with good governance practice.

This document will help Company to manage the identified risks & impacts and achieve continuous performance improvement in line with the Plan-Do-Check-Act (PDCA) approach as represented in **Figure 5**:

Figure 5: PDCA Cycle for Management System



1.4. SCOPE AND APPLICABILITY

The scope of this ESMS covers the E&S management of PNPL (and its subsidiaries) at corporate and facility levels. The management system is based on thorough understanding of the Company's operations and activities covering aspects such as E&S Risk and Opportunities Assessment & Management at PNPL, Labour and Working Conditions, Pollution Prevention & Resource Efficiency, Occupational Health and Safety, Community Health and Safety, Emergency Preparedness and Response, Supply Chain Management, Third-party Engagement, Business Partners/Client Engagement, Grievance Redressal Mechanism, Training and Capacity Building of the employees (including contractual workers) in terms of compliance monitoring and reporting, site specific technical, environmental, social and legal compliance requirements etc.

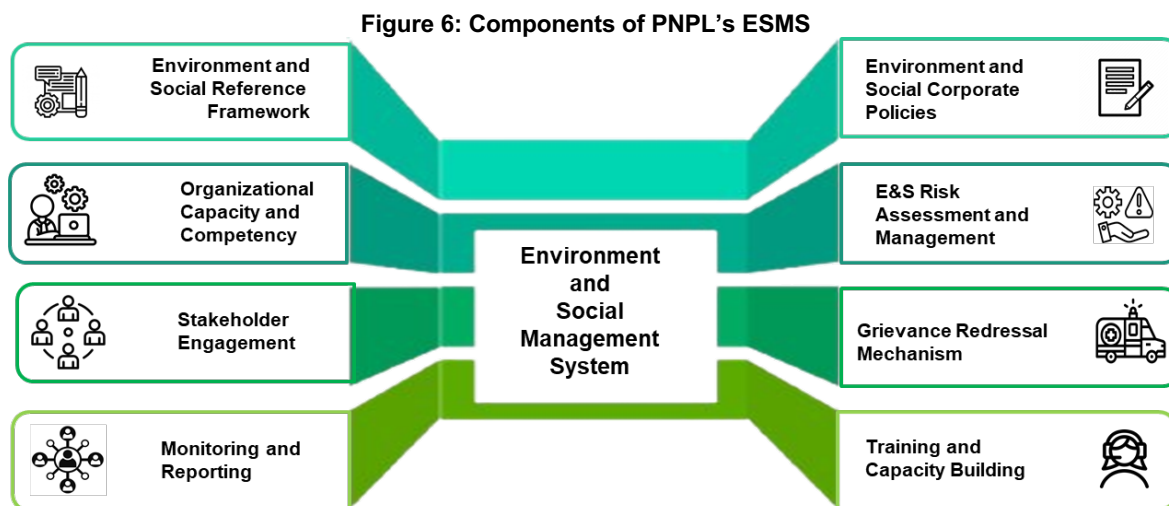
The ESMS establishes compliance mechanism with applicable National regulatory requirements and international standards for E&S management such by International Finance Corporation (IFC) Performance Standards (PS), Lighthouse ESMS, National Investment and Infrastructure Fund Limited (NIIFL) E&S Management Policy, Asian Development Banks (ADB) Safeguard Policy Statement (2009), ADB Gender and Development Policy (1998), ADB Social Protection Strategy (2001), Asian Infrastructure Investment Bank (AIIB) E&S Framework (2016) and other good industries practices (hereinafter referred to as "Reference Standards"). The reference standards have been discussed in detail in **Section-3**.

This ESMS Manual is an internal management tool intended for use as a reference source and may be shared with PNPL employees, subsidiaries, business partners, contractor/service providers, investors and others, as

required through appropriate medium. The relevant sections of ESMS also extends to the third-party vendors/suppliers, where applicable.

1.5. COMPONENTS OF ESMS

This ESMS comprises of the Main Volume and supporting Annexures. The main volume includes separate sections as outlined in **Figure 6**, which are explained in detail in the manual. Annexures provide the reference information that PNPL will require in maintaining the established ESMS within the Company and dealing with the stakeholder's queries on EHSS safeguard issues.



2. CORPORATE POLICIES

PNPL has developed the following corporate-level policies reflecting the commitment of the Company to ensure compliance with environment, social, health & safety, quality, and employees/workers welfare-related aspects:

2.1. ENVIRONMENTAL, HEALTH, SAFETY AND SOCIAL (EHSS) POLICY

PNPL is committed, to conducting its contract manufacturing & packaging business in a responsible and environmentally sustainable manner; to protecting health & safety of employees, contractors, surrounding community; and to achieve the objectives and requirements of the business partners.

To achieve the same, the Company has developed a corporate-level EHSS Policy that defines the responsibilities and principles of the Company with respect to EHSS performance. The Company shall:

- ✚ comply with the local, state, and national EHSS laws and regulatory requirements, good industrial practices, and E&S reference standards¹, as applicable to their operations of contract manufacturing & packaging of FMCG products.
- ✚ not engage in any of the prohibited activities as listed in the exclusion list of investors and/or in the category A projects as defined under Lighthouse ESMS/IFC Performance Standards/ADB Safeguard Policy Statement.
- ✚ identify E&S risks and impacts of new and existing businesses and facilities through screening, categorization, and due diligence.
- ✚ implement management systems and procedures, appropriate to the size and nature of the business, that ensure a systematic approach to risk assessment, addressing relevant risks, monitoring, and reporting on progress, and, to the extent possible, involving stakeholders.
- ✚ assess the environmental impact of the activities of the Company, set continual improvement objectives and targets and review these periodically to ensure that these are being met at the individual facility.
- ✚ implement the environmental management systems across the company to meet the environmental statutory requirements and verify compliance with these standards through regular auditing.
- ✚ create and sustain processes that are inherently safe (on-site and off-site), ensure product safety and incorporate the principles which are sustainable and commonly acceptable, of pollution prevention, resource efficiency, energy conservation, optimum use of natural resources, waste minimization and promote reduction of greenhouse gas emissions.
- ✚ encourage suppliers and co-packers to develop and employ environmentally superior processes and ingredients.
- ✚ pay wages that meet legal minimum wage and overtime requirements and ensure as principal employer its duties under applicable labour laws and principles towards contract workers.
- ✚ not engage forced, involuntary, bonded, or child labour and ensure no discrimination among employees (including contractual workforce) in terms of recruitment, progression, working conditions, representation and based on gender, race, colour, caste, disability, political opinion, sexual orientation, age, religion, social or ethnic origin, marital status, membership of workers' organizations, legal migrants, or HIV status.
- ✚ provide the right of workers to form and join independent organisations i.e. freedom of association without interference and right to collective bargaining.
- ✚ make available fair, transparent and timely redressal mechanism for stakeholders in respect of any grievance.
- ✚ respect human rights principles as well as local cultures, customs, and values while dealing with the local community, ensuring community safety with respect to the Company's operations; implement a properly managed external communication/grievances reporting, response, and monitoring mechanism.
- ✚ set out organizational roles and responsibilities and ensure that all employees and workers are aware of their roles and responsibilities to fulfill and sustain the policy.
- ✚ provide a safe and healthy environment for employees/workers to prevent work-related injury and illness, and ensure that health and safety procedures & instructions given by management are followed on a regular basis, and shall integrate safety instructions into all business processes, as well as proactively evaluate the risk of occupational injury / illness and implement actions to mitigate the risk.

¹ NIIFL E&S Management Policy, Lighthouse ESMS, IFC Performance Standards, The World Bank Group General and Sector-specific EHS Guidelines, ADB Safeguard Policy Statement; ADB Social Protection Strategy, ADB Gender and Development Policy, AIB Environment and Social Framework, ILO Conventions.

- ✚ involve all employees/workers in the implementation of this policy by providing appropriate training and dissemination of information to employees/workers on EHS aspects and best practices through suitable communication networks.
- ✚ make available sufficient financial and physical resources to meet the objectives of the E&S Management System, as well as all applicable legal and other requirements.
- ✚ monitor and evaluate the E&S performance, including developmental impacts, and ensure continuous improvements in the management of the E&S matters for long-term sustainable growth.

2.2. EHSS POLICY IMPLEMENTATION

The EHSS Policy ("Policy") of PNPL will govern the overall operations and decision-making of the Company in an environmentally and socially sustainable manner. The Policy is applicable across all facilities and business operations of PNPL and its subsidiaries, including employees, workers (on-roll and contractual), business partners, and supply chain entities engaged at existing and future facilities.

The EHS officer of the Company will be responsible for implementation of the Policy as part of the ESMS, with support of other departmental heads of the Company.

The Policy will be approved by the senior management and suitably reflected in various procedures, guidelines, and plans developed. The senior management of PNPL will review, revalidate, and revise the policy annually (or on a need basis) to incorporate changes arising from the modification and/or progress of the business plan, regulatory requirements, etc. The Policy will be communicated and made readily accessible to all employees, workers, (including contractual), business partners, suppliers and other relevant stakeholders as per their requirements.

For suppliers and third-party vendors, the contracts will include suitable clauses related to E&S aspects and adherence towards them will be ensured through written confirmation and site visits and/or audits, wherever applicable. Approved EHSS Policy or its extract will be displayed on the Company's website and on facilities notice boards.

2.3. QUALITY POLICY

PNPL has developed a separate Quality Management System (QMS) to adhere to international good practices throughout product manufacturing in all of its facilities and to supply high-quality products to its business partners. PNPL has documented a list of SOPs governed by a Quality Policy within the management system to standardize quality across all facilities and comply with the requirements of business partners.

2.4. FOOD SAFETY POLICY

PNPL has documented Food Safety Management System (FSMS) that defines a systematic approach for: managing food safety, prerequisite programs, training procedures, comprehensive monitoring system of Hazard Analysis Critical Control Point (HACCP) principles, personal hygiene instructions, methods of safe handling of food products, mitigation measures on preventing cross-contamination, a traceability system, cleaning procedures, allergen control guidance, safe storage of food, and cooking/baking temperatures. All the above-mentioned policies and procedures are product-specific and developed in line with the requirements of respective business partners. The FSMS is governed by Food Safety Policy.

2.5. CSR POLICY

As per the CSR Policy, the Company meets its wider economic, social, and environmental obligations towards all stakeholders and society at large. PNPL as an entity i.e., including all the facilities, falls under the purview of CSR and conducts several CSR activities in the community such as donating printers to Government Schools, Sponsoring School Sports Events and Food, Book Distribution for Government Schools, Usage of recycled material in the secondary packaging in Sachet line, and tree plantation activities, etc.

2.6. HR POLICIES AND PROCEDURES

PNPL has documented corporate-level HR policies that are applicable across all facilities and its business operations. The policies are communicated to all the employees/workers through an Employee Handbook (enclosed as **Annexure-3**) provided during induction training.

Policies & procedures such as prevention of sexual harassment, prohibition of child labour, prohibition of forced labour, code of conduct are extended to casual labours & third-party workers (contractual workforce) deployed at PNPL facilities.

Further, other labour related compliances leaves, compensation etc. are the responsibility of the contractors which are mentioned in the respective agreements and its monitoring by PNPL is covered as part of Contractor Management Plan (**Annexure 12**).

Some key HR policies of the PNPL include:

Table 3: Objectives of PNPL's HR related Policies

HR Policy	Description
Compensation and Benefits Policy	The policy aims at attracting, retaining, and motivating high caliber professionals. The compensation philosophy is based on Cost to Company (CTC) offered to the candidate, that the compensation paid is for the position and not the person. It consists of Provident Fund (PF), Employee's State Insurance (ESI), Bonus, Gratuity policy, and group medical insurance related provisions.
Leave Policy	This policy deals with the rules and the regulations concerning the entitlements towards different types of paid leave admissible to the employees on the permanent rolls of PNPL, as well as any administrative procedures in that regard. The leave policy also includes Maternity leave of 26 weeks which is in line with the <i>Maternity Benefit Act 1961 (as amended)</i> .
Gratuity Policy	All employees who complete a minimum 5 years of continuous service with the organization are eligible for gratuity, on leaving the organization. Gratuity is payable when an employee separates from the service of the organization, due to resignation, termination, dismissal, or death.
Code of conduct	To emphasize the highest standards of discipline concerning attendance, punctuality, code of conduct, discipline on the shop floor and discipline, completing assignments on time, no smoking, non-alcoholism, no gutka and tobacco, drug abuse, no gambling, and violence at the workplace. etc.
Conflict of Interest	PNPL discourages any act that is not in the best interests of PNPL, the employee or members of their immediate families should not engage in any activity or have any outside interest that might conflict with PNPL's interest in any way, be harmful or publicly detrimental to PNPL, or deprive the Company of their loyalty in carrying out its policies and satisfactory performance of their duties.
Performance Appraisal Process (PMS)	PNPL has a system in place for periodic performance appraisal of the employees to have proper career development of the employees & identify their training needs.
Reward and Recognition Policy	The policy aims to provide a motivational working environment for all employees by providing a platform to recognize specific, unique, value, and critical measurable performance incidents which would align employee performance and achievements in line with the Company's Value and mission objectives.
Anti-Bribery and Gift Policy	This policy indicates maintaining the highest possible standards of business practice and advises individuals of PNPL's 'zero-tolerance' to bribery
No Discrimination Policy	The No Discrimination policy refers to the company's commitment to no discrimination against all employees and contract/outsource employees and other related parties on gender, employment, wages, welfare measures, social security, and other benefits.
Forced Labour Policy	PNPL ensures that employees working in its facilities are doing so voluntarily and does not engage in or support the use of forced labour.
Child Labour Policy	PNPL commits to not employ Child Labour and also does not support the use of Child Labour across its supply chain.
Whistle Blowing Policy	The Whistle-blower policy is intended to encourage employees and others to make good faith reports of suspected fraud, corruption, or other improper activity, or health and safety concerns within the organization.
Prevention of Sexual Harassment Policy	The policy promotes a work environment that is conducive to the professional growth of women employees and encourages equality of opportunity and the policy is in line with the <i>Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013 (as amended)</i> .
Anti-Money Laundering Policy	PNPL is committed to full compliance with all applicable laws and regulations regarding anti-money laundering procedures.

3. ENVIRONMENT AND SOCIAL (E&S) REFERENCE STANDARDS

3.1. NATIONAL LEVEL E&S LEGISLATIONS

All the existing and future operations of PNPL will strictly comply with the applicable national and state-specific E&S laws and regulations of Government of India (GoI). The current E&S regulatory requirements are identified, collected, and analyzed to evaluate its applicability with respect to PNPL's operations of manufacturing FMCG products in India. A list of the key Indian Laws and Regulations on EHS & Social issues along with major compliance requirements that are applicable to PNPL facilities are provided as a Legal Register in **Annexure-1 & 2**.

- ✚ List of EHS regulatory compliance requirements is provided in **Annexure-1**,
- ✚ List of Social & Labour Welfare Compliance requirements is provided in **Annexure-2**.

Amendments to existing legislation/new legislation shall be reviewed by the Company's EHS Manager in coordination with the HR team (along with the support of different teams, as and where required). External consultation will be sought where required, to ensure the understanding and context of the legislation is applied correctly. The implementation of E&S legislation in India varies from state to state based on state-specific rules. Hence, the Company needs to monitor the approach adopted toward implementing the legislation in each state where the company operates.

- ✚ Each PNPL facility will prepare a site-specific *EHSS compliance register* incorporating state and local level compliance requirements and separately keep track of applicable state-level E&S compliances.
- ✚ Records of all the Permits/Licenses/Approvals obtained from regulatory authorities will be maintained at each facility. The Corporate level EHS Manager and the Plant & HR Head at each site will ensure the timely renewal of all the Licenses/Permits and the same will be recorded.
- ✚ The legal register will be reviewed by the EHS Manager on quarterly basis and will be shared with the investors as part of the Annual Report (or as and when required).

3.2. GLOBAL E&S REFERENCE STANDARDS

The Company shall comply with the requirements of the following Global E&S reference standards in its business operations, as applicable, through the implementation of this ESMS manual.

I. Lighthouse ESMS

Lighthouse follows a stringent process to monitor and measure the E&S impacts of its potential portfolio companies before making an investment decision. Lighthouse's comprehensive E&S Policy confirms its compliance with all applicable E&S legislative requirements and ensures continual improvement by adopting responsible E&S management processes. It has also undertaken preventative measures to control, minimize or eliminate related risks and impacts across all its operations and portfolio investments. As per Lighthouse's policy, its portfolio companies are required to establish and maintain an ESMS commensurate the nature and scale of the business operations and adopt commitments to promote environmental and socially sustainable business activities.

II. National Investment and Infrastructure Fund Limited (NIIFL) E&S Management Policy²

NIIFL is a Government of India (GoI) anchored institution, which acts as the investment manager to alternative funds set up under the NIIFL umbrella. NIIFL E&S Policy shall be applicable to all funds directly managed by NIIFL and to third-party managed sub-funds set up under the NIIF Fund of Funds (FoF). Every Project/investment done by NIIFL (through Lighthouse in this case) will be mandatorily guided by all the E&S Management Principles. The following E&S Management Principles are developed and play an integral and critical part of NIIFL's E&S Management Policy:

- Principle 1 - Environmental & Social Risk Assessment and Management Systems*
- Principle 2 - Environmental Risks and Management*
- Principle 3 - Human Resources Management*
- Principle 4 - Social Risks and Management*

Based on the nature of the business and scale, ESMS is required to be developed by the Investee Company. Risks & impacts on E&S aspects should be identified and mitigation plans to be developed. Risks and impacts must be mitigated and managed through the implementation of a transparent management of human resources, and an effective internal grievance mechanism covered by HR Management. Covers all risks and impacts on the social sector including involuntary land acquisition; physical and economic displacement of Project Affected

² For more information, refer to the following link: https://niifindia.in/wp-content/uploads/2018/06/NIIFL_ES-Policy.pdf

Peoples (PAPs); vulnerable PAPs; scheduled tribes identified and recognized by the national regulatory framework; and cultural and historical resources relevant to local communities.

III. IFC Performance Standards (PS) 2012³ and IFC Access to information Policy

IFC is a part of the World Bank Group which provides financial services to businesses investing in developing countries. IFC's PS, widely recognized as good practice in the business community, is directed toward clients, guiding how to identify risks and impacts, and is designed to avoid, mitigate, and manage risks and impacts as a way of doing business sustainably, including stakeholder engagement and disclosure obligations of the client concerning project-level activities. The PS consists of one (1) overarching standard (PS 1) and seven (7) standards covering specific issue areas (PS 2-8). PS 1 covers the elements that need to be in place to help ensure that the remaining seven (7) standards are implemented. **Table 4** gives an overview and applicability of the IFC-PS on PNPL.

Table 4: Overview of IFC-PS

Performance Standards and Purpose	Applicability on PNPL
PS-1 Assessment and Management of Environmental and Social Risks and Impacts - To develop E&S Policy (or equivalent documents) statement. - To identifying and evaluating E&S risks & impacts. - Apply management hierarchy of avoidance, mitigation and minimization. - Apply Mitigation program. - Organizational capacity & competency. - Process for monitoring & evaluation. - External communications. Ensure Affected Communities have access to an effective grievance mechanism.	Applicable The applicable PS shall help PNPL to improve the E&S performance of the Company through an outcomes-based approach. PNPL's ESMS Manual has been developed in line with the applicable PS requirements (i.e. PS 1-4), based on the nature of its operations. The Company will ensure compliance across its existing and future operations, through the adoption and implementation of various procedures developed as a part of this ESMS Manual.
PS-2 Labour and Working Conditions - To promote fair-treatment, non-discrimination and equal opportunity of workers. - To promote safety and health at work. - To protect workers, including vulnerable categories of workers, such as children. - To ensure fair wages and decent working conditions of the suppliers. - To ensure avoidance of child labour and forced labour in supply chain.	
PS-3 Resource Efficiency and Pollution Prevention - To avoid or minimize adverse impacts on human health and the environment by avoiding or minimizing pollution from business activities. - To promote more sustainable use of resources, including energy and water. - To reduce operations related GHG emissions.	
PS-4 Community Health, Safety, and Security - To anticipate and avoid adverse impacts on the health and safety of the Affected Community from business operations in both routine and non-routine circumstances. - To ensure safeguarding of personnel and property is carried out in accordance with relevant human rights principles and in a manner that avoids or minimizes risks to the Affected Communities.	

³ For more information on IFC PS, visit the link: https://www.ifc.org/wps/wcm/connect/Topics_Ext_Content/IFC_External_Corporate_Site/Sustainability-At-IFC/Policies-Standards/Performance-Standards

PS-5 Land Acquisition and Involuntary Resettlement • To avoid, and when avoidance is not possible, to minimize physical and economic displacement caused by a project • To avoid, and when avoidance is not possible, to minimize the impacts upon Affected Communities caused by land acquisition or restrictions on land use.	Limited Applicability Currently all facilities of PNPL are either located in notified industrial areas that has been specifically earmarked for carrying out industrial activities and leased out to the Company by Regulatory Authorities or has been bought from a single seller (or his family) on a willing buyer- willing seller basis. The Company ensures the process of acquiring and operating new facilities will be carried out in a culturally and legally sound manner and prior consents/permits are obtained from relevant regulatory authorities. Further, Company will avoid sites requiring involuntary resettlement of a community to protect the Company from future liability. Therefore, currently, PS-5 does <i>not</i> apply.
PS-6 Biodiversity Conservation and Sustainable Management of Living Natural Resources • To protect and conserve biodiversity • To maintain the benefits from ecosystem services • To promote the sustainable management of living natural resources through the adoption of practices that integrate conservation needs and development priorities	Not Applicable All existing facilities of PNPL are located in industrial areas and either leased out to the Company by Industrial Development Authorities or bought from a single seller (or his family) on a willing buyer-willing seller basis. The existing facilities and proposed ones will not be located in or near national/provincial/local designated conservation parks. The type of risks and impacts envisaged in PS-6, thus are <i>not</i> applicable. However, PNPL ensures that all applicable consents will be obtained from relevant authorities and the environmental and social impacts of PS-6 will be avoided as practically possible.
PS-7 Indigenous Peoples • To ensure that supported business operations foster full respect for the human rights, dignity, aspirations, culture and natural resource-based livelihoods of Indigenous People. • To anticipate, avoid and minimize impacts on communities of Indigenous Peoples, and to minimize and compensate such impacts when avoidance is not possible. • To promote sustainable development benefits and opportunities for Indigenous Peoples in a culturally appropriate manner. • To respect and preserve the culture, knowledge and practices of Indigenous Peoples.	Not Applicable The Company ensures that no indigenous peoples have been affected by the Company's business operations till date. Also, the Company ensures it will not affect any indigenous people in the future as well, giving due respect for human rights, aspiration, culture, knowledge and practices of Indigenous People.
PS-8 Cultural Heritage ▪ To protect cultural heritage from the adverse impacts of project activities and support its preservation. ▪ To promote the equitable sharing of benefits from the use of cultural heritage.	Not Applicable There are no impacts on any cultural heritage resources as per the environmental assessment and Company ensures that its operations have no significant effects on culturally sensitive sites/buildings.

IV. IFC's Environmental, Health, and Safety Guidelines for Food and Beverage Processing (2007)⁴

The EHS Guidelines for Food and Beverage Processing include information of EHS issues associated with food and beverage processing, which occur during the operational phase, along with recommendations for their management. Recommendations for the management of EHS issues common to most large industrial facilities during the construction and decommissioning phases are provided in the General EHS Guidelines.

V. The World Bank Group General EHS Guidelines 2007⁵

⁴ For more information, refer to the following link <https://documents1.worldbank.org/curated/en/115451484220273807/pdf/111933-WP-ENGLISH-Food-and-Beverage-Processing-PUBLIC.pdf>

The World Bank EHS Guidelines are technical reference documents with general and industry-specific examples of Good International Industry Practice (GIIP). Effective management of environmental, health, and safety (EHS) issues entails the inclusion of EHS considerations into corporate-level business processes in an organized, hierarchical approach. The guidelines provide an approach to the management of significant sources of emissions, including specific guidance for assessment and monitoring impacts on the environment, occupational health & safety, community health & safety.

VI. Asian Development Bank (ADB) Safeguard Policy Statement (SPS) (2009)⁶

The SPS of ADB is built on three (3) safeguard areas i.e., **environment, involuntary resettlement and indigenous peoples**. The SPS aims to promote sustainability of project outcomes by protecting the environment and people from projects' potential adverse impacts, where possible; minimizing, mitigating, and/or compensating for adverse project impacts on the environment and affected people when avoidance is not possible; and helping borrowers/clients to strengthen their safeguard systems and develop the capacity to manage E&S risks. The objectives of the three (3) safeguards are provided in **Table 5**.

Table 5: Objectives of ADB Safeguards

S. No.	Safeguards	Objectives	Applicability on PNPL
1.	Environment Safeguards	- To ensure the environmental soundness and sustainability of projects. - To support the integration of environmental considerations into the project decision-making process.	Applicable The Company ensures to conduct all its business operations considering environment soundness & shall follow all plans & procedures rigidly developed for environment management.
2.	Involuntary Resettlement (IR) Safeguards	- To avoid IR wherever possible. - To minimize IR by exploring project and design alternatives. - To enhance, or at least restore, the livelihoods of all displaced persons in real terms, relative to pre-project levels. - To improve the standards of living of the displaced poor and other vulnerable groups.	Not Applicable Currently, all facilities of PNPL are operating through leased/owned facilities located in industrial/urban areas. No physical or economic displacement has occurred so far. Therefore, IR does not apply. * All PNPL facilities ensure that: - Its lands are classified as non-agricultural (through verification of titles or obtaining a change in land use certificate.) - Titles of land/buildings are free from encumbrances and are marketable. - No involuntary resettlement due to the Company's future facilities and operations.
3.	Indigenous People (IP) Safeguards	To design and implement projects in a way that fosters full respect for IP identity, dignity, human rights, livelihood systems, and cultural uniqueness as defined by the IP themselves so that they (i) receive culturally appropriate social and economic benefits, (ii) do not suffer adverse impacts as a result of projects, and (iii) can participate actively in projects that affect them.	Not Applicable The Company ensures that no IP are/ have been/ will be affected due to its business operations.

VII. ADB Social Protection Strategy (2001)⁷

The Social Protection Strategy spells out the scope of social protection⁸ and the commitment of ADB to develop priority intervention in five (5) major elements related to labour policies, social insurance, social assistance, micro and area-based schemes, and child protection.

VIII. ADB Gender and Development Policy (1998)⁹

ADB's Policy on Gender and Development (GAD) is the guiding framework for gender and development activities. The key elements of ADB's policy are Gender Sensitivity, Gender Analysis, Gender Planning, Mainstreaming and Agenda Setting. The Policy adopts gender mainstreaming as the key strategy for promoting

⁶ For more information, refer to the following link: <https://www.adb.org/sites/default/files/institutional-document/32056/safeguard-policy-statement-june2009.pdf>

⁷ For more information, please refer to the following link: <https://www.adb.org/sites/default/files/institutional-document/32100/social-protection.pdf>

⁸ Social protection is defined as the set of policies and programs designed to reduce poverty and vulnerability by promoting efficient labour markets, diminishing people's exposure to risks, and enhancing their capacity to protect themselves against hazards and interruption/loss of income.

⁹ For more information, please refer to the following link: <https://www.adb.org/sites/default/files/institutional-document/32035/gender-policy.pdf>

gender equality and women's empowerment across the full range of ADB operations - from country partnership strategies to the design and implementation of gender-inclusive projects and programs.

IX. ADB's Access to Information Policy (2018)

The policy reflects ADB's commitment to transparency, accountability, and participation by stakeholders in ADB-supported development activities in Asia and the Pacific. The policy, led by an overarching principle of clear, timely, and appropriate disclosure, contains principles and exceptions to information sharing with external stakeholders.

X. Asian Infrastructure Investment Bank (AIIB) Environment and Social Framework (2016)¹⁰

The AIIB is an international organization that provides a multilateral regional financing and investment platform for infrastructure development and enhanced interconnectivity in Asia. Consistent with the Sustainable Development Goals (SDGs), AIIB recognizes the need to address the three dimensions of sustainable development – economic, social and environmental – in a balanced and integrated manner.

XI. New Development Bank (NDB) E&S Framework & Standards (2016)¹¹

The NDB E&S Framework sets out the core principles which govern the operations of NDB on E&S management. It includes two (2) parts: E&S Policy & E&S Standards. The objective of these standards is to ensure E&S soundness and sustainability of Operations and to support the integration of E&S considerations into the operation decision-making process. Three (3) standards are:

ESS1: Environmental and Social Assessment,

ESS2: Involuntary Resettlement and

ESS3: Indigenous People.

XII. Joint Multilateral Development Bank (MDB) Principles for Assessing Climate Change¹²

Climate resilience and adaptation are intrinsically linked to development. This makes it challenging to accurately estimate adaptation finance in development operations. In response to this challenge, the joint MDB Working Group on Climate Finance Tracking developed a common adaptation finance tracking methodology in 2012. This common methodology has been applied to assessing and reporting MDB finance directed to specific adaptation activities that are carried out in response to experienced and anticipated climate change impacts.

The methodology takes a context-specific, granular and conservative approach to reduce the scope for over-reporting of adaptation finance. The MDB adaptation finance tracking methodology requires project activities that contribute to adaptation to be disaggregated from activities that do not.

The joint MDB methodology seeks to identify the links between adaptation activities and the project's explicit intent to reduce vulnerability to climate change. Only activities that directly address climate change vulnerability are considered when estimating the adaptation finance.

XIII. International Labour Organization (ILO) Conventions

This requirement has been set out in IFC PS-2 (i.e. Labour and Working Conditions) and has been in part guided by number of International conventions and instruments, including those of the ILO. The Governing Body of ILO has identified 10 Conventions that are considered as fundamental principles and rights at work are given below:

1. Freedom of Association and Protection of the Right to Organise Convention, 1948 (No. 87)
2. Right to Organise and Collective Bargaining Convention, 1949 (No. 98)
3. Forced Labour Convention, 1930 (No. 29) (and its 2014 Protocol)
4. Abolition of Forced Labour Convention, 1957 (No. 105)
5. Minimum Age Convention, 1973 (No. 138)
6. Worst Forms of Child Labour Convention, 1999 (No. 182)
7. Equal Remuneration Convention, 1951 (No. 100)
8. Discrimination (Employment and Occupation) Convention, 1958 (No. 111)
9. Occupational Safety and Health Convention, 1981 (No. 155)
10. Promotional Framework for Occupational Safety and Health Convention, 2006 (No. 187)

The Company will ensure good employee relationships and shall conduct its business in line with ILO Conventions through various employee welfare policies & procedures developed by the Company. Going forward, as part of the management systems and procedures (discussed later), PNPL's current operations and

¹⁰ For more information, please refer to the following link: <https://www.aiib.org/en/policies-strategies/download/environment-framework/20160226043633542.pdf>

¹¹ For more information, visit the link: <https://www.ndb.int/wp-content/themes/ndb/pdf/ndb-environment-social-framework-20160330.pdf>

¹² For more information, visit the link: <https://thedocs.worldbank.org/en/doc/20cd787e947dbf44598741469538a4ab-0020012022/original/20220242-mdbs-joint-methodology-climate-change-adaptation-finance-en.pdf>

future facilities will operate in compliance with relevant applicable Indian regulatory requirements and global E&S reference standards.

4. E&S RISK ASSESSMENT AND MANAGEMENT

PNPL ensures that a holistic and consistent approach to E&S risk assessment and management is established throughout the business cycle, at all facilities of the Company (and its subsidiaries) and is embedded in its policies and procedures.

This section includes the framework by which the E&S risks and opportunities across PNPL business are identified and managed through adequate measures, resources, and controls.

4.1. E&S RISKS, IMPACTS, AND MITIGATION MEASURES

The primary objective of E&S risk identification and management is to identify the potential E&S risks associated with PNPL's business operations and to develop appropriate strategies to address/mitigate such risks and their potential impacts. The framework also helps in simultaneously identify relevant opportunities for the Company.

Risk assessment & management is conducted by considering the following aspects:

Aspects considered for conducting E&S Risk assessment	Key considerations for the development of E&S management procedures
Understanding the business operation cycle to identify the E&S risks/ impacts associated with different stages/ steps in contract manufacturing of FMCG products.	Assessment of all the identified (potential) key E&S risks/issues and opportunities, structure the plans on the basis of the assessed risks and manage those risks by implementing the plans.
Discussions with the authorized personnel responsible for E&S management.	Inclusion of inputs from different levels of employees and/or other external stakeholders (as relevant).
Reviewing the existing E&S policies, procedures and management plans developed and implemented by the Company.	Monitoring of significant amendments in Company's operations (such as products/ business partners/ geographical expansion), applicable laws and regulations.
Evaluation of environment, health, safety and social performance of existing and any future operations including manufacturing facilities, supply chain entities etc.	Compliance monitoring and reporting of E&S management plans by PNPL and submission to relevant stakeholders (as per requirement).

Potential E&S risks/issues and their management (mitigation) measures, along with identified opportunities for the Company that have been identified by assessing the business operations of PNPL (i.e. contract manufacturing of FMCG products), are depicted in **Table 6**.

Table 6: Potential E&S Issues and Risk Identification, Opportunities, and their Management Procedures

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
Planning Stage				
Site selection for setting up new facilities (owned/ leased/ rented premises)	- Inadequate architectural designs and infrastructure, non-compliance with building bylaws of the region/ State. - Unavailability of public transportation and inaccessibility to the facility. - Legal issues or claims associated with the facility. - Neighboring facilities conducting high-hazard activities. - Unavailability of or non-compliance with relevant facility-related documents/ permits/ approvals etc. - Unsatisfactory supply of water and electricity, sanitation and waste management system. - Lack of emergency preparedness measures including life & fire safety provisions. - Unavailability of important amenities nearby w.r.t business needs. - Issues pertaining to construction of new facilities such as generation and disposal of Construction & Demolition Waste; air and water pollution, Construction site	- Unavailability of manpower due to the inaccessibility of facility. - Poor selection of site for setting up of new facility may lead to financial and legal risks for the Company. - Building/site-related non-compliances/ risks can lead to show cause notices from regulatory authorities or suspension of activities leading to business discontinuity. - Excessive expenditure on water and electricity supply, sanitation, management of waste, emergency preparedness etc.	- Elimination of costs and/or operational delays due to any non-compliances related fines/ penalties/ show-cause notice from regulatory authority. - Reduction of costs by avoiding or minimizing E&S impacts through adequate facility location and design. - Risks of potential delays in initiating the Company's operations due to E&S issues can be eliminated or reduced. - Increased E&S performance in terms of energy efficiency, cleaner technology, waste reduction, occupational health and safety management, community relations, etc.	The approach for screening and evaluation process to identify potential E&S risks for setting up a new facility is defined in Annexure-5 (E&S Risk Management Plan for New Site Selection). As a management measure, the plan includes: - Parameters to be considered prior to selection of potential sites (preliminary screening)-greenfield site for construction of new facility by PNPL and existing facility (brownfield site) for leasing/acquisition. - Review of relevant documents, records and public information related to E&S aspects of the facility/location. Also, physically verify onsite conditions. - PNPL will screen all future opportunities against the <i>Exclusion list</i> as provided in Annexure-4. - Identify significant E&S risks concerning necessary legal compliances (permits/ approval/licenses), land ownership, resource consumption, utilities, infrastructure, manpower, etc. and other reputational risks. This includes engagement with

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
	health & safety aspects, working conditions and labour related aspects such as wages, social benefits etc. for the construction workers etc.			external consultant to conduct E&S Due Diligence of proposed site/facility. Terms & conditions of legal agreement (including respective E&S obligations of both parties). In cases where construction of new facility or renovation of existing facilities is to be carried out, PNPL ensures to obtain all applicable regulatory approvals /permits from the concerned authorities and follow <i>Construction Phase EHSS Management Plan (Annexure-6)</i>, which outlines the EHSS measures to be implemented by PNPL during construction phase.
Operational Stage				
Food Safety & Quality Management	- Ineffective quality management system (QMS) and/or Food Safety Management System (FSMS). - Inconstancy in implementing international Good Manufacturing Practices (GMP) and other requirements of business partner(s). - Product recall due to quality issues in the product. - Poor quality control and quality assurance. - Risks associated with poor housekeeping issues including infestation of pest.	- Direct/indirect additional expenditure in quality-related issues. - Fines, delayed production, reputational impacts due to significant food safety/ quality issues. - Permanent/temporary loss of license under applicable quality control regulations, including food-related certifications. - Lack of access to markets with the	- Benefits in operations and sales from the implementation of an efficient FSMS & QMS in line with international good practices and GMPs. - Cost benefits due to adherence to applicable regulations and compliance with certification requirements. - Access to new markets in FMCG sector where business partners seek implementation of QMS/ FSMS.	Food safety is of critical importance and PNPL ensures that the products manufactured for the various business partners are in appropriate condition and quality for human consumption. PNPL has developed extensive FSMS and QMS, separately, outlining detailed SOPs for the various operations and activities implemented at the respective facilities. The system includes but not limited to: Compliance with food safety related regulatory compliances.

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
		requirement of certification/ meeting certain quality requirements. ✚ Damage of raw materials, packaging materials and finished good due to pest infestation.	✚ Growth in sales through the ability to meet the requirements of the business partners. ✚ Reduction of damage cost through implementation of adequate housekeeping and pest control measures.	- Compliance with requirements set under certifications obtained. - Adherence to international GMPs. - Effective implementation of HACCP systems. - Product traceability systems and product recall procedures. The SOPs and policies developed are in concurrence with the requirements of the respective business partners.
Environment Management at facilities (including Resource Efficiency; Pollution Prevention & Waste Management)	The environmental risks that may arise due to the PNPL's operations across its different facilities include: ✚ <u>Air emissions:</u> ○ Sources- Operation of Diesel Generator (DG) sets, boiler, oven. ○ Green House Gas (GHG) emission due to operation of boilers, oven, DG sets, HVAC system in the facilities. ✚ <u>Energy Consumption:</u> Occupies a major share arising from heating/ cooling activities in the manufacturing process. ✚ <u>Water Consumption:</u> ○ Potential impact on water resources due to use of groundwater;	✚ Fines/Penalties may be imposed in case of non-compliance or violation of any national or state level Act or Rules with respect to Pollution Prevention and Control, obtaining requisite permits, and compliance with permit conditions. ✚ Excessive expenditure on energy and water consumption. ✚ Excessive expenditure on the management of waste (including off-site waste disposal), air emissions, and wastewater quality. ✚ Plastic waste pollution due to improper management and	✚ Preparedness for regulatory changes such as amendments in regulations and/or reference standards with more stringent requirements. ✚ Cleaner technology adoption and other preparedness measures can reduce pollution, improve process efficiency thereby reducing production cost, preventing/minimizing generation of waste, reducing raw material requirement and energy conservation. ✚ Sustainable packaging and supply	✚ In line with PNPL's commitment towards environment management, <i>Pollution Prevention & Resource Efficiency Plan</i> has been developed, enclosed as Annexure-7. This plan defines pollution prevention & resource efficiency measures adopted by PNPL in line with regulatory requirements and best practices. ✚ For ensuring proper on-site segregation, storage, and disposal of different types of wastes generated from various operations/activities during construction and operation phases, PNPL has developed an <i>Integrated Waste</i>

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
	- Water is used for process, drinking, cleaning (equipment/ facility), cooling, boiler feed, and potable purposes in facilities.  <u>Waste Water Generation:</u> - Potential high biochemical and chemical oxygen demand (BOD and COD), Total Dissolved Solids (TDS) in effluent generation from manufacturing process. - Domestic wastewater generation from toilets, washing areas in change rooms and canteens. - Accidental releases (spillage/ leaks) of chemical pollutants to soil and surface and / or groundwater.  <u>Waste Generation and disposal:</u> <u>Domestic non-hazardous / solid waste</u> comprising of degradable waste like food waste, horticultural waste and office waste collected in bins. - Waste generated from any expired/ damaged FMCG products <u>Hazardous waste</u> generated at facilities: - Used Oil (Category 5.1) - ETP Sludge (Category 35.3) - Wastes Residues Containing Oil (Category 5.2),	disposal of packaging materials.  Impact on the water resources such as ground water and surface water resources due to usage of water in the manufacturing process.  Reputational risk which may influence expectations of business partners.	chain leading to enhanced market access.  Cost savings generated due to adequate waste management including handling, storage, and disposal.	<i>Management Plan</i> (enclosed as Annexure-8. This plan defines the minimum requirements necessary to manage all types of waste in an environmentally safe manner and in compliance with applicable legal requirements and good industry practices.

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
	4. Empty barrels/containers/liners contaminated with hazardous chemicals/wastes (Category 33.1) ○ <u>Plastic waste</u> generated due to packaging waste generated during the manufacturing & packaging process. ○ <u>E-waste & Battery Waste</u> generated in different facilities of PNPL.			
Occupational Health & Safety (OHS) and Fire & Life Safety	+ Lack of/ inadequate: ○ emergency (natural and man-made) preparedness and responses measures. ○ safe access and emergency exits. ○ first aid amenities. ○ fire detection system. ○ fire-fighting measures (fire hydrant, sprinkler system, extinguishers, etc.) ○ electrical safety measures. ○ manufacturer specifications/ GMPs related to minimum controls in handling of equipment. + Inadequate or no training provided to deal with emergencies. + Physical risks- use of unsafe equipment, heavy machinery, repetitive work, etc.	+ Injury/ Loss of life (LTI/ Fatality) of employee. + Risk of prosecution or fines if employees (including contractual workers) are injured or exposed to fatal accidents. + Poor OHS practices may lead to damage or loss of the Company's assets, termination of contract by business partners, increased insurance premiums and legal claims (both in the short- and long-term). + Reputational damage. + License to operate can be put at risk if appropriate fire and life safety measures are not put in place.	+ Proactive engagement of employees/workers in identifying and maintaining good OHS practices, thus, providing ease in acceptance of any new or significant changes in the company's business operations. + Improvement in the productivity of employees. + Reduction in compensation payments. + Enhanced retention of employees/ workers in terms of a safe and healthy work environment. + Effective fire safety and emergency response standards to protect employees/workers,	+ PNPL has developed an OHS Management Plan to address health & safety-related risks associated with the Company's operations. The Plan provides actions to reduce the possibility of process/work-related accidents, illness, injury or fatality incidents. The <i>OHS Management Plan</i> to be implemented at PNPL is enclosed as Annexure-9. + PNPL has documented a comprehensive Emergency Preparedness and Response (EPR) Plan to handle emergency scenarios (natural or man-made) that could negatively affect the Company's business operations. To respond to emergencies in a way that will prevent and minimize any

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
	- Fire/ Electrical safety Permission/Licenses are not procured/ expired. - Ergonomics issues and poor housekeeping practices. - Road Safety related risks during transportation of materials arising out of lack of training. - For food handlers working with big hot ovens: inadequate or no training to the food handlers regarding fire and other safety measures (e.g. handling high temperature, malfunctioning of ovens, etc.).	- Suspension of operations due to an accident or fire in the facilities, which may lead to loss of life or property. - Low workforce morale and trust leading to higher staff turnover and low productivity. - Additional training and recruiting cost.	consumers, and the surrounding community and will foster stronger employees/workers, consumer and community support.	harm to employees, property, and/or to the environment, the EPR Plan will be implemented across all the facilities. The corporate level <i>EPR Plan</i> is enclosed as Annexure-10. The Plan covers on-site and off-site emergency situations such as but not limited to Fire & Explosions, Electricity Failure, Natural Disasters such as earthquake, flood & cyclone, bomb threats, etc.
Employee's Social and Welfare aspects and Contractor Management	- Gender discrimination in terms of employment (such as remuneration, promotions etc.) - Cases of sexual harassment, gender-based violence. - Cases related to work place violence; - Child labour; - Forced/Bonded labour; - Low or inadequate wages; - Lack of overtime payment (in case of overtime); - Discrimination in terms of race, creed, religion, right to freedom of association and collective bargaining etc. - Illness or health hazards due to lack of sanitation or	- Company may face prosecution or fines (or having their licenses removed) if they fail to comply with labour laws and regulations. - Financial, reputational and legal risks, along with lower production efficiency and product quality can result from poor employee morale and deterioration of employees' health (e.g. due to excessive working hours). - Poor working conditions can lead to high staff turnover resulting in increased	- Good working conditions can reduce costs and enhance productivity, attracting and retaining motivated employees. - Improved market access by achieving certain standards and/or certifications related to labour and working conditions. - Selection of specific contractors with strong compliance (including E&S) assurance background. - Assurance that all requisite labour licenses	- PNPL has developed an Employee Handbook (discussed in details in Section-2) wherein HR-related policies/procedures set values and principles including active and competent participation of all employees in management and decision-making processes and provide equal opportunity to all employees. - Human rights and social issues arising from PNPL's operations and engagement with stakeholders is a major aspect to be identified and managed by the Company. Key measures implemented by PNPL, to manage such issues are provided under the <i>Human</i>

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
	access to clean drinking water supply. ✚ Non-compliance with labour laws including non-provision of health and welfare benefits. ✚ Issues related to engaging third party contractors for manpower during construction and operation stages. ✚ Issues associated with contractor compliances. ✚ Issues associated with contractor compliances. ✚ Low awareness of labour laws among contractors and subcontractors, as minimum working conditions are typically absent from the subcontracting process. ✚ Interruptions caused by workers due to poor working conditions (during construction phase) and action from regulatory bodies due to non-compliance.	recruitment and training costs. ✚ Negative publicity can occur if employee working conditions generate media ✚ Contractor not being able to meet the applicable compliance requirements leads to business interruption.	and permits applicable to the contractor are in place. ✚ Help in managing business risks associated with the contractors by implementing a systematic approach.	<i>Rights & Social Welfare Plan</i> enclosed as Annexure-11. This Plan majorly covers following human rights aspects: - <i>Payment of Wages and Overtime</i> - <i>Social Insurance and Benefits</i> - <i>Abolition of Child Labour and Forced Labour</i> - <i>Non-discrimination and Equal Opportunity</i> - <i>Gender Equality</i> - <i>Diversity</i> - <i>Safe work environment</i> - <i>Retrenchment</i> ✚ The E&S aspects related to the third-party contractors engaged by PNPL (and its subsidiaries) and the specific activities to be carried out by them are evaluated prior to engagement of the contractor. For managing the same, PNPL has documented a <i>Contractor Management Plan</i>, enclosed as Annexure-12. The Plan aims to guide all facilities on efficient, fair, ethical and transparent process of hiring contractors to provide contractual workforce to be deployed at site for various activities conducted by the Company.

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
Supply Chain Management	- Issues associated with requirements of business partners & ability to fill large orders in specific time. - Direct and indirect costs of quality failures (e.g. lost production, fines and reputational impacts). - Inefficient transportation (pick-up/drop) services and lack of road safety measures. - Non-compliance with relevant Food Safety, EHS, and Social regulations. - Permanent or temporary loss of license to operate due to breaches of the applicable food safety/ E&S regulations. - Issues associated with sustainable sourcing of raw materials such as palm oil.	- Reputational risks linked to the procurement of goods/services from unauthorized sources or due to ethical, governance or environmental concerns. - Non-compliance with Food Safety, EHS, and Social issues can lead to increased risks. - Any operational hindrances in the supply chain may lead to disruption in the business continuity of PNPL. - Reputational risk associated with non-adherence to additional guidelines/ regulations related to sustainable sourcing of raw materials such as palm oil.	- Mitigating the Food Safety and E&S, risks across the supply chain will help in higher productivity and efficiency leading to reduced cost of products. - Achieve a more reliable, sustainable, resilient and competitive supply chain by collaborating with and, where possible, train vendors to enhance Food Safety, EHS and Social management measures to (i) improve resource use sustainability (e.g. water and electricity); (ii) raise product quality; and (iii) develop stronger and better relationships with vendors. - Adherence to global best practices regarding sustainable sourcing. - Increased company value and improved opportunities for exit. - Timely delivery of quality products makes a positive impact on business partners.	- To manage the potential business risks associated with the engagement of supply chain entities, PNPL has documented a comprehensive <i>Supply Chain Management Plan</i> which is enclosed as Annexure 13. - The plan provides a systematic approach for selection, evaluation, engagement and monitoring of E&S performance across its supply chain including management of contractors.
Customer engagement and	Lack of data privacy and information security, through Company's websites.	Transition risk due to changes in consumer preferences.	The business model of the Company is dependent on the trust and	- PNPL has developed: - a <i>Data Protection Policy</i> to treat the information of

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
Community health, safety & security	- Poor feedback on products manufactured for the business partners leading to reputational risk- products not meeting standards/ food contamination. - Non-compliance with E&S regulations. - Product recall due to quality issues and counterfeit product control procedures. - Lack of effective stakeholder engagement and grievance management. - Poor community engagement strategies. - Issues faced by the surrounding community w.r.t E&S management of the facilities leading to community dissatisfaction. - Community grievances arising from issues related to E&S aspects such as air emission, effluent discharge, solid waste generated, noise, transportation etc. - Unethical behaviour of Company personnel/ contract workers. - Employment of poorly trained security guards and inappropriate use of force by security guards.	- Reputational risk resulting from consumer grievances and negative feedback. - Potential breach of data of Company/ website users. - Legal & reputational risks due to complaints from nearby communities. - Potential risks due to improper security management and issues with security personnel stationed at PNPL's facilities and its subsidiaries. - License to operate can be put at risk if business partners and community concerns & relations are not well managed, particularly concerns regarding any risks arising from the Company's operations. - Some impacts on the community w.r.t E&S aspects: - Harmful gases, dust, odor or smoke generated from facilities may cause respiratory problems, allergies or discomfort.	satisfaction of business partners. Higher engagement will lead to better sales and a good company reputation. - Good community relations help to manage expectations and identify any concerns (e.g. health or safety risks) before these become risks for the company's operations and surroundings. - Reduced community grievances. - Data protection from unauthorized access, loss, or deletion. - Increase in business partners' trust and market reputation. - Reduction in legal liabilities. - Operational business efficiency. - Reduced security risks, which may indirectly yield other benefits such as improved health and safety of the workforce.	employees, business partners, stakeholders or other interested parties with the utmost care and confidentiality. The policy is enclosed as Annexure 14. - an <i>Information Technology (IT) Policy</i> to provide a procedure to treat information of employees, customers, stakeholders, or other interested parties with the utmost care and confidentiality, and the policy has been enclosed in the HR Handbook - a <i>Site Security Management Plan</i> that is committed to maintaining the security and well-being of employees, visitors and surrounding community. At PNPL's facilities, security guards are deployed for all shifts, who are managed in line with the requirements, the same is enclosed as Annexure-15. - Grievance Redressal Mechanism outlining procedure and escalation matrix for grievances (raised by community) is enclosed as Annexure-18. - To address the impacts of environmental issues such as air emission, waste water emission, noise pollution,

Key Aspects	Potential E&S Risks	Possible E&S Impacts	Identified Opportunities	Management Measures
		○ Untreated effluent / domestic sewage discharge can contaminate surface water or ground water or irrigation systems of surrounding areas, ○ Hazardous waste/ solid waste generated from the operations may affect soil quality, fertility and productivity of the surrounding areas. ○ Noise from machinery, equipment, vehicles or other activities (including construction) can disturb the neighboring areas and cause stress, hearing loss or sleep disorders. ○ Risks of accidents or injuries due to transportation of raw materials or finished products. ○ Altercation with Company personnel/ contract workers due to unethical behaviour.		waste disposal etc., Pollution prevention & Resource Efficiency Plan has been developed, enclosed as Annexure-7 along with Integrated Waste Management Plan, enclosed as Annexure-8 .

5. ORGANISATION CAPACITY AND COMPETENCY

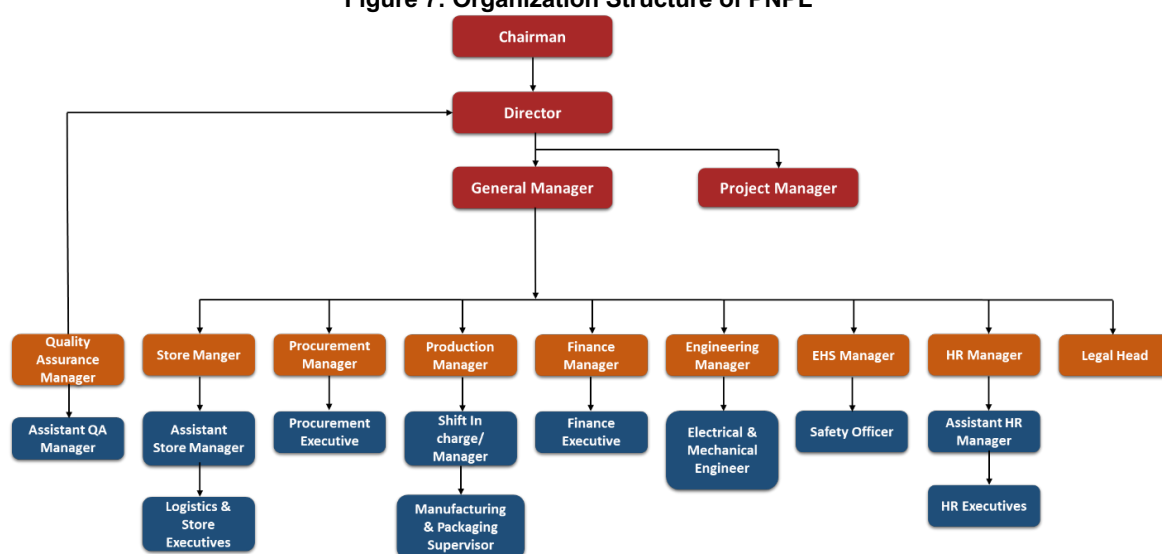
Organizational capacity and competency is an important aspect for effective implementation of ESMS. The institutional structure of PNPL is described in this section, along with the roles and duties established to ensure accountability towards this ESMS.

5.1. ORGANISATIONAL SETUP OF PNPL

PNPL is a group company of Mann Ventures Group which is headed by Mr. Sukhbir Singh Mann (Chairman) who is responsible for overall operations at PNPL and other subsidiaries. The Chairman is supported by the Department Heads of different verticals such as Procurement, Production, Engineering, QA/QC, EHS, HR, Admin, etc. The organization structure of PNPL and its subsidiaries comprises of different departments with defined roles and responsibilities for effective management of overall business operations. Each department is managed by qualified professionals on all key positions, overlooked by respective directors of the concerned departments.

Organizational structure of PNPL is depicted in **Figure 7** defining different departments within the Company.

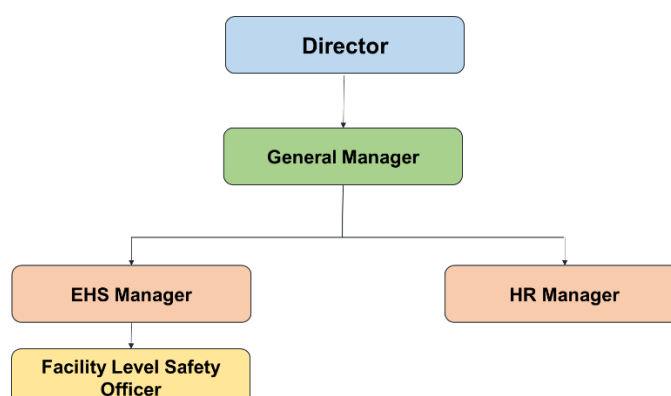
Figure 7: Organization Structure of PNPL



The functions of all the departments include implementation of the overall E&S management policies and procedures across the facility.

E&S Organisational Structure of PNPL: E&S team at PNPL comprises of EHS Manager along with Safety Officer and HR Manager who shall be responsible for management of overall environment, health and safety and social related aspects all facilities. The team will be responsible for review of Risk Management Procedures and overall ESMS implementation. Organization structure of company's E&S team is depicted below in **Figure-8**.

Figure 8: E&S Organisational Structure of PNPL



E&S team of PNPL shall ensure compliance & implementation of policies/procedures/regulatory requirements of employees and workers (including contractual workers) & labour welfare related aspects including monitoring and reporting of compliance by contractors, business partners and service providers to labour laws and internationally recognized core labour standards. As per *Factory Act 1948*, facilities where more than 500 workers are working, the Company shall appoint designated Welfare Officer.

5.2. ESMS COMMITTEE

In order to ensure effective implementation of ESMS, PNPL has established an ESMS Committee (comprising of various Departmental Heads) which will be responsible for implementing and overseeing all the E&S regulatory compliance, safeguards implementation management, performance and monitoring, review and preparation of annual environmental performance report for submission to senior management as well as to the investors, as per the requirement.

PNPL has also designated an EHS Manager for manufacturing facilities, who will work with the ESMS Committee to make sure that enough resources have been allocated for the successful implementation of ESMS throughout the Company's operations and according to the prescribed framework. The roles which have been nominated to be a part of the ESMS Committee has been listed in **Table-7**.

Table 7: PNPL's ESMS Committee

S. No.	ESMS Committee Member – PNPL
1.	Director
2.	General Manager
3.	HR Manager
4.	EHS Manager
5.	Facility level Plant Heads
6.	Facility level Safety Officers
7.	Other Members (If any)

Members from different verticals shall be included in the committee as and when required. PNPL will also engage externally qualified E&S consultants on requirement basis to assist in conducting E&S reviews as appropriate.

Initially, the ESMS committee will meet *every six (6) months* for ESMS Review Meeting for first two (2) years and if a matter requires urgent attention, any representative may call for a meeting at short notice. Once the ESMS is well-established, ESMS review meetings will be conducted *annually* or as the period decided by the committee. Minutes of Meeting (MoM) shall be maintained by EHS Manager at group level and reported to the Director and investors, as required.

5.3. ROLES AND RESPONSIBILITIES

Roles and responsibilities of PNPL' E&S team with regard to ESMS implementation are given in **Table 8**.

Table 8: Roles and Responsibilities of E&S Team

Corporate level E&S Team	
ESMS Committee	- Ensure and oversee that the ESMS requirements are established, implemented and maintained appropriately, adequate manpower is deployed and sufficient budgetary resources are allocated for the same. - Integrate risks, impacts, and mitigation strategies that have been identified in the business operations; identifying opportunities throughout operations; and assessing financial capability to deal with the same. - Review implementation of the various management plans/procedures, and mitigating measures developed thereunder, across all facilities. - Conduct ESMS review meetings with the purpose to identify the overall deviations in the existing operations and management system and to ensure continuous improvements & areas of excellence. - Review the Annual E&S Monitoring Report for all operations/entities and, as necessary, inform the Director and investors of the status of the ESMS implementation. - Ensure that resources are optimally deployed as per ESMS Manual. - Ensure facilitation of ESMS training to employees (including contractual workforce). - Support teams in implementation of new technologies in terms of manufacturing of products.
EHS Manager	- Lead the efficient implementation and continuous improvement of the ESMS and its associated management plans and procedures across all PNPL facilities with the support of site-specific Operations Head. - Supervise E&S (including health & safety) related aspects across all PNPL facilities.

	- Coordinate with respective E&S teams/ representatives of the facilities / subsidiaries for submission of annual returns/fees/payments in line with regulatory requirements. - Prepare the relevant E&S checklists and documents, such as but not limited to, site feasibility checklist and EHS monitoring checklist, and discuss findings with senior management. - Oversee implementation of the supply chain management plan, including reviewing the screening and evaluation checklist of service providers carried out by Operations/Procurement Team and reporting supply chain issues to senior management. - Ensure that all legal documentation including contracts agreements/ Purchase Orders with suppliers/ vendors/ contractors shall include applicable E&S covenants. - Keep check on all the approvals and permits applicable to the company and support respective teams in implementing and managing an effective legal compliance program, pushing for better compliance controls across functions. - Undertake continuous risk appraisal, review (and updates as necessary) of plan and procedures associated with ESMS. - Ensure the effective implementation of E&S Risk Management Plan for New Site Selection at the time of selection, assessment & finalization of potential sites for Company's facilities. Review screening results (give scoring) for acquiring new facility and ensure the same is incorporated in decision-making process through discussion with senior management. - Coordinating with different stakeholders for ESDD and action plans developed for the new sites. - Drive and lead internal E&S monitoring (inspections/audits), spot-checks, surveys, etc. from time to time, to identify gaps and outline initiatives action plans to bridge gaps. Report the progress to the ESMS Committee. - Organize ESMS committee meetings as per the pre-decided timeline. - Support the corporate teams and monitor the implementation of efficient engagement and grievance redressal for internal and external stakeholders. - Conduct EHS and Emergency Preparedness training programs for employees and support HR Manager for training programs. Ensure to maintain all training records. - Ensure to resolve the issues of facility E&S teams, if any. - Ensure to organize the meeting of ESMS committee. - In case of any accident/emergency, lead the incident investigation, prepare necessary documentation as per the ESMS and report to senior management. - Maintain operations and manage EHS aspects at the respective facility through daily monitoring. - Implementation periodic (or on need basis) Hazard Identification and Risk Assessment (HIRA) to identify all potential risks associated with day-to-day operations of the facility and ensure health & safety of employees. - Assist in maintaining a record of legal and E&S regulatory requirements at facility level. - Monitor and supervise on-site compliances and report to the senior management. - Implement all management plans and emergency response action plan developed under the ESMS at the respective facility.
Director	- Chair the ESMS Committee. - Approval of the ESMS & all related policies & procedures and ensure that the ESMS requirements are formulated, carried out, and implemented effectively. - Budget approval for E&S resourcing, training and overall implementation of ESMS.
General Manager	- Oversee and supervise different department heads across different functions (Operations, HR, Finance & Legal, Quality, etc.), to determine and anticipate requirements and development of relevant strategies for continuous improvement. - Oversee the operation department's vendor and supplier relationships effectively so that there aren't any product shortages that prevent the company from being operated efficiently. - Ensure efficient implementation of Grievance Redressal Mechanism for all the stakeholders. - Review of Annual E&S Monitoring Report and approval for further submission to investors (as per requirement).
HR Manager	- Upgradation and implementation of the Company's HR & Labour related policies and procedures. - Ensure all employee-related policies are aligned with national employment and labour laws and internationally recognized core labour standards. - Responsible for communicating various HR and Company related policies and procedures to all employees/contract workers employed by the Company. - Promote safe and healthy working conditions across all facilities, conduct trainings and employee welfare programs at respective facilities. - Conduct Induction training, employee welfare programme and other EHS training programs/ awareness programs in coordination with EHS Manager. - Maintaining appropriate records of training, skills & experience of all personnel at the facilities. - Ensure to redress grievances of the employees and contract workers. - Promotion of inclusion and diversity including gender equality activities and opportunities; and awareness raising on anti-sexual exploitation, harassment and abuse and anti-gender based violence measures for women employees.

	- Supervise the internal Social Monitoring of the facilities within stipulated time, to identify compliance-related gaps and outline initiatives action plans to bridge gaps. - Communicate precautionary measures against any national emergency requirement such as precautionary measures against pandemic diseases like COVID-19 to all the employees and contractor(s) (and the contract workers). - Support other departments and employees for overall administration related work.
Facility Level E&S Team	
Plant Head	- Oversee and supervise different facility level department heads across different functions to strategize on implementation of efficient & adequate facility operations. - Ensure compliance of all the regulatory requirements and ESMS relevant to the facility level. - Ensure all the relevant permits and policies are displayed at notice board, as per requirements. - Ensure all the safety system are in place and provide adequate training to the employees. - Reporting of any serious incident/accident at site to the EHS Manager at corporate level. - Coordinate with Safety Officer regarding EHS compliance of facility and to conduct periodic monitoring of the facility. - Interact with workers and check welfare of workers. Assess & resolve problems at site. - Coordinate with Safety Officer in implementation of accident prevention program, emergency preparedness & response plan, safety trainings for workers engaged in facility.
Safety Officer	- Manage EHS aspects at the facility through daily monitoring. - Ensure effective implementation of OHS Plan. - Implement periodic (or on need basis) HIRA to identify all potential risks associated with day-to-day operations of the facility and ensure health & safety of employees. - Assist in maintaining a record/ registers of H&S regulatory requirements at facility level. - Monitor and supervise on-site compliances and report any EHS related matter to the EHS Manager. - Assist in implementing emergency response action plan.
Other Departments	- Ensure that ESMS requirements are established, implemented and maintained. - Responsible for overall administration and hold day-to-day productions affairs. - Ensure proper hygiene at all levels of processing - Maintain production and quality records and also identify training needs for production. - Provides necessary resources to implement and maintain the E&S System and report to Director. - Promote safe and healthy working conditions across all facilities, conduct trainings and employee welfare programs at respective facilities. - Maintaining appropriate records of training, skills & experience of all personnel at the facilities. - Co-ordinate with Safety Officer and to train staff (at facility levels) on EHS aspects and related policies. - Ensure all the relevant permits, policies and SOPs are displayed at notice board of the respective Department, as per requirements. - Ensure that requisite monitoring have been conducted at their respective Department level. - Ensure overall implementation of the management plans at their respective Department level. - Department Heads of Projects, Finance, Procurement, Production, Marketing shall ensure effective implementation of E&S management in their respective line of operations.
Employees (including contractual workers)	- Take all reasonable steps to protect their own safety, as well as the safety of their co-workers. - Familiarize and adhere to any legal requirements, EHS practices, standards and procedures developed and implemented by company. - Comply and support in the implementation of all the management plans and procedures.

Responsible, Accountable, Support, Consulted and Informed (RASCI) Matrix has been provided for each activity for ESMS Implementation as **Annexure-16**.

5.4. BUDGETARY RESOURCES

As part of the annual budgeting process, PNPL's ESMS Committee will ensure that sufficient funds/finances are made available for the effective conduct of the activities defined in the ESMS and in managing E&S safeguards in PNPL's operations.

6. STAKEHOLDER ENGAGEMENT PLAN

This section of the ESMS provides an overview of PNPL's commitment to create sustainable stakeholder engagement opportunities by building ongoing, robust and credible relationships with all stakeholders across the business operations (during planning & operation stages).

The Stakeholder Engagement Plan (SEP), consistent with PNPL's EHSS Policy is a critical element of the ESMS for assessing and managing E&S risks and impacts and ensuring smooth implementation of the business operations.

The SEP will assist PNPL in managing and facilitating engagement with its stakeholders (internal and external) in a technically, financially and culturally appropriate manner. This is done by understanding their perspective on key issues by using the most effective communication channels available. It serves the purpose of enabling the Company to provide its stakeholders a fair & transparent engagement system that fosters the development of long-term relationships based on mutual understanding and trust with regard to matters of common interest.

6.1. OBJECTIVES

The specific objectives of stakeholder engagement are as follows:

- ✚ Identification and categorization of stakeholder groups based on their degree of influence/ interest on Company's operations;
- ✚ Define approach which will govern the Company's stakeholder relationship management, ensuring that the engagement activities are integrated and undertaken in a co-ordinated and effective manner;
- ✚ Develop an understanding of the identified stakeholder groups' profiles, their interests, issues/impacts and concerns relevant to the Company's business operations;
- ✚ Define roles and responsibilities, engagement methods, frequency and tools for the implementation of the SEP;
- ✚ Anticipate and address issues and areas of concern of stakeholders, in a timely manner and achieve sound E&S performance of the Company;
- ✚ Assure transparency and accountability on the communication arrangement within PNPL and in methods through which the Company engages with all its stakeholders;
- ✚ Receive informed feedbacks from respective stakeholders, to support the Company's decision-making, strategy and assessing opportunities to improve policies and plans;
- ✚ Define reporting and monitoring measures to ensure effectiveness of SEP and its periodical reviews.

6.2. TYPES OF STAKEHOLDERS

Based on the type of association with the Company, PNPL has identified various stakeholder¹³ who have been categorized into two (2) groups:

Internal Stakeholders	Those who operate within the Company	Employees, interns, trainees and contractual workers.
External Stakeholders	Those who are impacted or impact the company, but are not directly employed by the Company	Business partners, consumers, vendors, suppliers, contractors, investors, surrounding community, land owners, Government & Regulatory authorities, media and Non-Governmental Organisations (NGOs) etc.

The process of stakeholder engagement has been discussed in details and enclosed as **Annexure- 17**. The SEP encompasses key elements such as stakeholder identification and mapping, engagement strategies, responsibilities, communication method, implementation methods, monitoring, review and record keeping.

¹³ The list of stakeholders is likely to expand/change in composition as more stakeholders might be identified along the business cycle of PNPL due to expansion of services/ products.

7. GRIEVANCE REDRESSAL MECHANISM

This section outlines PNPL's plan for receiving, responding and effectively managing grievances/ issues associated with various internal and external stakeholders identified in **Section-6**. The Grievance Redressal Mechanism (GRM) has been developed by PNPL to implement a formalised process (identification, tracking and redress) to manage Company- related complaints/ feedback from various stakeholders (internal and external).

7.1. OBJECTIVES

The key objectives of PNPL's GRM includes:

- ✚ Provide employees an easy and accessible communication channel for prompt disposal of grievances.
- ✚ Access a timely, clear, and understandable grievance-resolution procedure that is gender-responsive, culturally appropriate, and easily accessible without retaliation or punishment.
- ✚ Guarantee that those who voice complaints won't face discrimination or reprisal, and that any complaints will be handled in confidence.

The five (5) guiding principles that serve as the foundation of the GRM: **fairness, transparency, promptness, respect, and accountability**.

7.2. TYPES OF GRIEVANCES

PNPL categorize the grievances under the following two (2) categories:

- **Internal Grievances:** Grievances (particularly employment and workspace related) arising from internal stakeholders i.e. employees, contractual workers and interns/trainees:
- **External Grievances:** Grievances arising from all external stakeholders such as consumers, vendors/ suppliers, contractors, logistics partners, investors, building/property owner, surrounding community, regulatory authorities, etc.

Grievances can be addressed through informal and formal channels such as chat, email, phone, written complaint, or in-person, and the specifics will be shared with the relevant stakeholders using appropriate mediums. GRM developed for PNPL is enclosed as **Annexure-18**. The Plan defines the procedure and escalation matrix to address grievances raised by internal or external stakeholders.

8. TRAINING AND CAPACITY BUILDING

PNPL is committed to empower its employees (including contractual workforce) to excel in their designated roles & responsibilities, and competently perform required tasks, all while ensuring their safety and their valuable contributions to the Company's growth and sustainability.

For the purpose of equipping employees with the necessary knowledge, skills and behaviour to provide a basis for continuous improvement and to protect day-to-day health & safety of employees and contractors, a training programme in accordance with PNPL's EHSS Policy will be followed.

8.1. PRINCIPLES OF TRAINING

Trainings at PNPL will be based on the following principles:

- ✚ Trainings shall be provided to both on roll employees and contractual workers based on role, responsibilities and associated risks;
- ✚ Assurance of competency and quality outcomes post trainings rather than only maintaining attendance;
- ✚ Focus on the needs of the audience and use different learning methods to cater for differing needs, and
- ✚ Training shall be an ongoing and iterative process.

8.2. COMPETENCY FRAMEWORK

Competency derives from knowledge (through provision of information) which over time becomes *skill* (through trainings and practice), leading to the ability to demonstrate positive *behaviours* (through effective fulfilment of assigned responsibilities). PNPL's training program targets all the three (3) elements- knowledge, skill and behaviour, to achieve competency of the employees.

To assess the current status of competencies and identify further requirements, PNPL will create Competency Framework for respective job functions. The framework will include the following two (2) stages:

- ✚ **Stage 1-** Identify the knowledge, skills and behaviours required per job function, taking into consideration associated risks and activities, regulatory requirements along with leadership level and responsibilities. The framework will depend on the requirements of different employee groups at different levels for each job function.
- ✚ **Stage 2-** Identify which existing competencies the employees (on-roll and contractual) have. Existing trainings, qualifications and experience shall be considered in context of the skills required to fulfil specific roles. Further, refresher trainings will be conducted on periodic basis for higher risks. This process will identify the gaps in existing workforce competency which needs addressing through training need assessment.

8.3. TRAINING NEED ASSESSMENT ACROSS ALL FACILITIES

The competency framework will help in determining the requirements of training needs (or gaps) analysis for existing employees (including contractual workers). The EHS Manager along with the HR department will conduct half-yearly assessment to determine the kind of trainings w.r.t EHSS aspects, that staff require in order to successfully carry out PNPL's policies and procedures. For job and functional subject related training needs, department heads/ reporting managers will be consulted.

The training needs of individual must be identified based on following consideration:

- ✚ Technical competencies required for function or Job role.
- ✚ Specific training requirements identified in relevant (External Manufacturer and Co-Packer Quality Requirements), FSSC and Halal requirements
- ✚ Current technical skill and experience.
- ✚ Mandatory refresher training to meet regulatory requirements.
- ✚ Results of process reviews, audits, change management, customer/consumer complaints or other sources of non-conformities.
- ✚ Applicable Regulatory requirements.
- ✚ Requirements of certification.

The training need assessment will be carried out as follows:

- ✚ **Existing Resources:** Training needs must be created on a yearly basis (for all employees and contractual workers), for each operation/ procedure specific risks. Based on this, annual training calendar will be developed along with dedicated budget allocation.

- + **New Employees:** For new employees (including contractual workers), appropriate induction shall be planned to address the risks associated with their respective roles & responsibilities and level of experience.
- + **Change Management Process:** If there are any planned or unplanned changes to the business operations (products/ business partners/ equipment/ operational procedures/ others), E&S regulations, personnel (senior management), etc., training need will be assessed to provide additional trainings to ensure any related risks are mitigated.
- + **Incident/ Accident:** When an incident/ accident occurs, associated trainings/ capacity building methods will be identified and implemented. High risk groups (such as new employees, contractual workers) will be identified who require additional trainings & supervision to address competency gaps.
- + **ESMS Implementation:** Personnel with direct responsibility for functioning and implementation of the ESMS shall be additionally trained:
 - with the knowledge and skills necessary to perform their work;
 - to maintain their knowledge of relevant E&S obligations; and
 - to enable them to implement specific measures required under the ESMS in a competent and efficient manner.

Development of Skill Matrix

It is the responsibility of Department Heads to identify the skill requirement for each function/job. Each employee subgroup should be assigned with an ideal rating or 'Target Skill' using below listed Rating Scale.

Table 9: Skill Matrix

S.No.	Target Skill	Rating Criteria
1	Basic Knowledge	- Awareness - Recall - Recognition
2	Some Working knowledge	- Knowledge of framework and content - Explain - Demonstrate
3	Can work under Supervision	- Interpret & Extrapolate - Implement with guidance
4	Can work Independently	- Solves by itself - Differentiates between concepts & understands application in a controlled environ without supervision
5	Fully Competent	- Can coach others - Able to design and device - Uses analyses

The extent and frequency of periodic trainings will commensurate with the roles and responsibilities of the staff in relation to the implementation of this ESMS. **Table-10** summarizes the most relevant (but not limited to) training session required for employees and workers.

Table 10: Minimum E&S Training Requirements

S. No.	Team	Relevant Topics for Training
1.	Senior Management	▪ Introduction to ESMS and its requirements ▪ Emergency Preparedness and Response
2.	ESMS Committee	▪ Introduction to Reference Standards and ESMS elements ▪ E&S legal requirements ▪ Identification and evaluation of E&S risks and impacts ▪ E&S Management Plans (including OHS management plans) ▪ Monitoring & Reporting of Key performance indicators ▪ Stakeholder engagement and grievance redressal mechanism ▪ Internal auditing/inspection and reporting
3.	HR Team	▪ Introduction to ESMS elements ▪ Labour and Working Conditions ▪ Hiring & Exit Procedures ▪ Non-discrimination, Anti- harassment, Prevention of Sexual Harassment, Remuneration and other labour policies ▪ Effective grievance management and resolution procedures for employees (including contractual workers) ▪ Employee-management interaction.
4.	Employees & Managers	▪ Introduction to ESMS ▪ EHSS Policy

		- Quality Policy - HALAL requirements - Critical trainings to IPQA (In Process Quality Assurance)¹⁴ and Chemists¹⁵ - HR Policies including Policy on Prevention of Sexual Harassment and associated procedures - Employee benefits for employees and workers - Overview of the Management Plans and Procedures developed as part of ESMS - Procedures relevant to the tasks performed - Ergonomics and safe work practices - Emergency response procedures - Employee Illness and Communicable disease - GMP and HACCP - Instruction on grievance redressal mechanism followed by the company - Employee-management interaction - Any significant regulatory or stakeholder concerns that must be considered in day- to-day operations
5.	Contractual workers	- Introduction to ESMS - EHSS Policy - Quality Policy - Good Manufacturing Practices, including uniform and change procedure - Food Safety, Employee Illness & Communicable Disease. - HALAL requirements

(Note: The above table describes training which is most relevant to respective teams (including employees) but is not limited and is subject to change on need basis).

8.4. TRAINING PROGRAMS AT PNPL

At PNPL (across all facilities and subsidiaries), training program for all employees (including contractual workers) include the following trainings programs:



1. Induction Training

PNPL conducts Induction Training for every new hire- employees and contractual workers on the basis of their role, responsibilities, job and relevant risks. During the first week of employment, training session for new employees will be organized, with a goal to give new joinees a fundamental understanding of the overall company policies & procedures, site operations and their respective roles & responsibilities.

The induction program will also provide an opportunity to interact with senior members from various functions, as well as, with other employees. The induction training module on ESMS framework is outlined in **Table-11**.

Table 11: Training Modules for ESMS Framework

Training Program	Duration & Location	Target Group	Responsibility
Module – I	Corporate Framework		
- Introduction to the Company and team - HR related Policies & Procedures – including employee benefits - Code of Conduct - EHSS Policy - Trainings as per Quality Management System & Food Safety Management System - Grievance Redressal Mechanism - POSH Policy	¼ Working Day at Facility	All new employees/ workers	HR Department

¹⁴ IPQA: CCP, Calibration, Net Content, Hold and Release (CNCP), Sanitation, Process Parameters (CRQS, Process docket).

¹⁵ Chemist: RM, PM analysis, Testing Control, Specification, Hold and Release (CNCP), Calibration.

• Reporting System • Important contacts • Personal Hygiene • Roles and responsibilities of Employee			
Induction to Site • Site orientation, site rules and no-go areas • Basic emergency procedures and medical facilities • Site hazards and associated risk controls • Incident reporting procedures.	¼ Working Day at Facility	All new employees/workers	EHS Manager
Module – II	Environmental & Social Aspects		
• Safety Induction Program- OHS Management Plan; Fire & Life Safety Measures; Emergency Management Plan	½ Working Day at Facility	All employees/workers	EHS Manager; Safety Officer
• Basic understanding of Environmental & Resource Management Procedures	½ Working Day at Office/ Facility		EHS Manager
Module – III	ESMS Framework		
• Training on Key Element of ESMS, its Concept, Objects, Implementation and Maintenance. • Basic concept of E&S regulations and statutory requirements as per Government of India. • Compliance of Regulatory Permits applicable to PNPL.	½ Working Day at HO	Relevant employees from E&S Team, HR Team, Administrative Team	Member of ESMS Committee (Including EHS Manager)

Employees will sign an attendance sheet for induction training attended. Procedures to evaluate the effectiveness of such training will be implemented.

All new employees (on-roll and contractual) shall receive induction training prior to starting their job function. Additional supervision will also be implemented until the individual is deemed and documented competent to work alone.

II. Technical Trainings

✚ Job specific Trainings such as GMP Trainings (covering all aspects of production including materials, premises, equipment, training, behavioural and personal hygiene of staff); Food Safety and HACCP Trainings for managers, supervisors, operators, people responsible for food safety, anyone who interacts with food, food-related products, food storage, food distribution, and the environments that surround food to review and improve how they handle food; HALAL Requirement Trainings; and Microbiologists/Chemist Trainings regarding RM-PM analysis, Testing Control, Specification, Hold and Release (CNCP), Calibration, Business Partner specific Trainings etc.

✚ Functional skills: Functional skills training aims to develop competencies essential for completing specific job-related tasks, focusing on teaching by practicing.

Examples of functional skills are, but are not limited to:

- How to replace machinery parts
- How to organize storage items
- How to perform safety protocols

✚ Internal Auditing Training: This will help employees understand the basics of auditing and to prepare, perform, report, and close an audit. It provides individuals with the skills and knowledge required to conduct effective internal audits. The training covers various internal auditing topics, such as its principles, techniques, best practices, relevant laws, regulations, and industry standards.

✚ On Job Training: Job related trainings will be provided to the employees of the respective departments to manage the value chain of the Company, including:

- Internal and external trainings (as necessary) are arranged to help them shape their career.
- In-house job and informal trainings are conducted frequently for effective performance.

- Personal Hygiene and health training to ensure that food products are produced under safe conditions and in a hygienic and controlled manner.

III. EHS Training

EHS training enables the management to ensure a safe and healthy work environment for the workers and employees working at facilities. It also helps the employees/workers to recognize safety hazards and correct them on timely basis.

Dedicated EHS training duly approved by EHS Manager shall be provided bi-annually across all facilities and carried out as part of induction training for new staff as well. It will help them to understand best safety practices undertaken by PNPL to run their business operations with utmost safety. The EHS Training shall focus on:

- + Approach towards conducting monitoring and reporting of EHSS aspects.
- + Knowledge on applicable regulatory EHS requirements.
- + Refresher session on the Company's EHS Management Plans.
- + Refresher session on occupational health and safety measures.
- + Refresher session and mock-drills on emergency response and fire safety.
- + Refresher session on all the accidents and gaps identified in Mock drills.
- + Identifying, categorizing and prioritizing the hazards, risks and information thereof
- + Familiarizing with applicable processes and updated standard operating procedures to enable implementation of corrective or preventive actions.
- + Empowering staff members through sharing knowledge of EHS matters to ensure they assist in continual EHS system performance.

Annual Training Planner focused on EHS aspects is enclosed as **Annexure-19**. Apart from the scheduled training, daily Tool-box talk has also been envisaged focusing on job specific H&S aspects (details are included in OHS Plan **Annexure-9**).

IV. ESMS Training

Progressive training techniques will be followed in order to develop organization competency w.r.t implementation of ESMS at corporate and facility levels. After raising employee's awareness about the ESMS during the induction training, refresher training sessions (as per the planner) shall be conducted to strengthen employees' commitment to the implementation of the ESMS. Annual Training Planner for capacity building of employees in line with ESMS manual is enclosed as **Annexure-20**.

V. Refresher Training

Refresher training programs shall be organized and conducted by concerned personnel to ensure continuous effectiveness of the training program. PNPL will provide the refresher training to already trained employees, on the basis of their competency check and also ensure that all the employees are updated on all the new techniques trending in market. Major focus for Refresher session shall be on following aspects:

- Company's EHSS Policy and Management Plans;
- Occupational health and safety measures;
- Mock-drills on emergency response and fire safety;
- All the accidents and gaps identified in Mock drills
- Prevention of Sexual Harassment etc.

Respective department heads are required to make sure that employees on leave for longer than 30 working days receive refresher training on all trainings completed during their leave period before beginning work in their respective area. Retraining must be appropriately documented and archived with the original record.

VI. Training of Contractual Staff

The contractual workforce shall be trained regarding the basic and necessary ESMS elements in addition to their respective task during the induction training. Refresher trainings and awareness sessions shall be conducted for the contractual staff w.r.t EHS and ESMS trainings, as per the training planner. The training and evaluation of contractor worker shall be given in local and easily understandable language.

In addition to above, during construction/customization phase of PNPL facility, the EHS Manager/Safety Officer shall ensure that adequate training have been provided to the workers by respective contractors. Contractors shall submit their training program to Safety Officer/EHS Manager of PNPL ensuring that training programs are adequate; all personnel requiring training have been trained and competency is being verified.

8.5. IMPLEMENTATION OF TRAINING PROGRAMS

Proper implementation of the training programs will help maintain health and safety of employees and will keep them updated with all the management plans, policy and other related information about the Company. Training will be provided in different ways based on the target audience and the appropriate message required to reach them.

8.5.1. Training Delivery Methods

Training can comprise both formal and informal training methods such as:

Formal Methods	E-Learning, power-point presentation, classroom training, workshop & exercise, toolbox talks etc.
Informal Methods	Mentoring, on-the-Job learning, focused discussions, leading by example etc.

Training Attendance (template enclosed as **Annexure- 21A**) shall be maintained by the respective trainer/department head and HR Department.

8.5.2. Training Evaluation and Feedback

Training Feedback and Evaluation forms are the tool by which the Company can collect valuable data from the employees who have participated in the training. This feedback is essential to the process of refining and optimizing the training programs, and ultimately to maximize the value that employees are receiving. The main objective of training feedback or training evaluation forms is to provide insight on how effective the training program was in achieving set goals. One of the most important benefits of training feedback is how it can help easily identify areas for future training. By collecting feedback, the Company will know what changes to make to improve the training's effectiveness. Template of Training Evaluation Form is enclosed as **Annexure- 21B**.

8.5.3. Monitoring And Record Keeping

PNPL shall periodically (at-least half-yearly) monitor that all the training procedures are being implemented and followed effectively and all the employees are well aware of the ESMS measures.

The results of the training assessment shall be documented by the respective departments. This may form components of the training such as:

- + Annual Training Calendars
- + Induction Training Program record
- + Skill Matrix
- + List of Trainers
- + Attendance record, signed by individuals.
- + The specific course materials / or scope of training content.
- + Training certificates issued, if applicable.
- + Training evaluation forms.
- + Training and Re-training Records

8.5.4. Budget Allocation

To fulfil the purpose of training and capacity building of employees and workers, PNPL will ensure that the budget formulated is adequate and HR Department will be responsible for the budget allocation, which shall be approved by the Director and Chairman. The budget may include the provisions for the following (but not limited to):

- + Internal and external trainers;
- + Training materials;
- + Preparation and dissemination of training materials.

9. MONITORING AND REPORTING

Regular Monitoring forms a very crucial component of an ESMS, to make sure that the Company is handling its E&S concerns in compliance with its ESMS, EHSS Policy, and other obligations.

9.1. MONITORING APPROACH

The goal of monitoring is to make sure that all benchmarks and applicable framework conditions are effectively met, as specified in this manual or other permit/approval documents. Monitoring also includes regular screening of the operations and activities to identify potential new E&S risks that might come up and which would require risk management, any change/improvement needed in the execution of the activity or in the mitigation measures. Visual observations, personnel interviews, and record-checking are the three main methods of monitoring that PNPL will use. Records will be kept and the entire inspection and audit process will be documented.

As per the fund investment approach, PNPL is categorised as Category B investment. The inspections and audits will be done by PNPL's internal team (or through external agencies/experts, if required). The entire process of inspections and audits will be documented and records will be maintained.

9.2. E&S KEY PERFORMANCE INDICATORS (KPIs)

PNPL will concentrate on the Key Performance Indicators (KPIs), which are quantifiable measures of how well PNPL is accomplishing key E&S goals in accordance with the EHSS Policy.

The KPIs (qualitative and quantitative) chosen by PNPL are listed in **Annexure-22**, together with information on how often PNPL will be monitoring them. E&S KPI monitoring must be reported to senior management and investors as part of annual reporting (as required). The list of KPIs is sample list, and will be reviewed annually by PNPL team or as requested by investors. PNPL also follows SASB Standards for Food Safety. Opportunity on KPIs shall be evaluated on annual basis and targets shall be accordingly set by PNPL.

9.3. MONITORING MEASURES AT PNPL

9.3.1. Daily Facility Walk-through

The department in charge of the respective facilities are responsible for conducting daily site inspections of each team's workplace. In addition to operations, the daily walk-through will focus on E&S issues and adherence to the Company's standard operating procedures. During a facility walk-through, any inconsequential findings must be reported immediately to the staff or other authorised person, along with the required corrective action and deadlines. The observer immediately notifies the Safety Officer or representative of any potential hazards or non-compliances to ensure that the responsible party has taken the proper corrective action.

9.3.2. Internal E&S Inspection/Monitoring

PNPL's EHS Manager and HR Department are jointly responsible for making sure that all E&S Regulatory approvals required to continue their operations are valid and the approvals' conditions are being followed, the management controls in place are efficient, and the Health & Safety programmes and activities are operating as intended and meeting the Company's safety goals. The inspection will also help determine what kind of training the staff members need.

PNPL facilities will undergo inspections every six (6) months to ensure compliance with environmental, health and safety (EHS), and social regulations. After that, the ESMS Committee and Senior Management will get the monitoring report from the EHS Manager and HR Department.

- Checklist for EHS monitoring is provided at **Annexure-23A**.
- Checklist for monitoring Social and labour welfare aspects is provided at **Annexure-23B**.

Inspection findings shall be communicated to the concerned persons for taking requisite corrective actions. Records of the inspection findings and corrective action taken by respective facility specific E&S team (Facility level Plant Heads & Safety Officers) will be submitted to the EHS Manager at corporate level. The EHS Manager will compile all the records which shall be discussed in ESMS committee meetings.

In addition to the above, PNPL will also conduct internal and external audits as per the requirement of QMS, FSMS and the requirements of business partners. Further, PNPL will conduct environmental monitoring as per the regulatory requirements for periodic submission to regulatory authorities and the regular audit of their labour contractor for labour related regulatory compliance.

9.3.3. ESMS Review Meeting (ERM)

The ESMS and its deployment will frequently be discussed by senior management as part of ERM. This discussion's objective is to frequently involve senior management in evaluating how the ESMS has been applied to all aspects of the company's operations. Reviews will involve an objective evaluation of many layers of data on EHS and Social performance that were gathered through the consistent use of the ESMS and its supporting management practices.

The management of PNPL must make sure the ERM evaluates the state of compliance and the need for adjustments. The following should be the ERM input and output:

Review Input	Review Output
The input for management review shall include: a) Results of internal and external audits (if conducted); b) Business Partner complaints/feedback; c) Supply chain management; d) Regulatory compliance system; e) Advisory notes and adverse event /incident reporting; f) Feedback and directives from the authorities; g) Status of preventive and corrective actions; h) Follow-up actions from previous management reviews; i) KPI monitoring; j) Changes that could affect the management system; and k) Recommendations for compliance.	The output from the ERM shall include any decisions and actions related to: a) Corrective and preventive actions required; b) Effectiveness of the ESMS & regulatory compliance system; and c) Resource needs and budget allocation.

The ERM, to be conducted quarterly, will also take into account the company's environmental, social, and/or OHS management policies, as well as any anticipated changes in regulatory compliance requirements, organisational changes, or new directives.

The management evaluation must be documented in a report format, and it may include specific recommendations for ESMS improvements, data sharing or publication with the outside world, or other appropriate management activities. Prior to being forwarded to the Director of PNPL, it will be given to the ESMS Committee for a final review and approval.

9.4. REPORTING

PNPL understands the importance of transparent reporting and disclosure of information, including providing access to information as well as operations as required by Lighthouse. Accordingly, PNPL shall:

upon Lighthouse's request, and with reasonable prior notice to the Company, Company shall permit representatives of Lighthouse or IFC (including their Compliance Adviser Ombudsman (CAO¹⁶)), or NIIF or ADB or any other co-investor(s) (collectively referred to as "Investors"), during normal office hours, to:

- (i) visit any of the sites and premises where the business of Company or the Subsidiaries are conducted;
- (ii) inspect any of the sites, facilities, plants and equipment of the Company or the Subsidiaries;
- (iii) have access to those employees, agents, contractors and subcontractors of Company and the Subsidiaries who have or may have knowledge of matters with respect to which the Investors seeks information; provided that: (A) no such reasonable prior notice shall be necessary if special circumstances so require; and (B) in the case of the CAO, such access shall be for the purpose of carrying out the CAO's Role. In each case, such access shall be granted solely for the purpose of carrying out the CAO's role, which is: (I) to respond to complaints by persons who have been or are likely to be negatively affected by

¹⁶ "CAO" means the Compliance Advisor Ombudsman, the independent accountability mechanism for IFC that responds to environmental and social concerns of affected communities and aims to enhance outcomes;

"CAO's Role" means the role of the CAO which is:

- (a) to respond to complaints by persons who have been or are likely to be negatively affected by the social or environmental impacts of IFC's investments; and
- (b) to oversee audits of IFC's social and environmental performance, particularly in relation to sensitive projects, and to ensure compliance with IFC's social and environmental policies, guidelines, procedures and systems;

the social or environmental impacts of projects in which the IFC has made a direct or indirect investment, and (II) to oversee audits of IFC's social and environmental performance, particularly in relation to sensitive projects, and to ensure compliance with IFC's social and environmental policies, guidelines, procedures and systems.

(iv) PNPL will consolidate all the facility level and corporate level grievances (internal & external) and report the same to the investors alongwith their resolution/actions taken on a monthly basis.

9.4.1. Accident/Incident Reporting

Serious occurrences or accidents at PNPL facilities / subsidiaries must be reported right away to the corporate level EHS Manager and subsequently to appropriate authority or senior management. This will make it possible for the team to go to the scene of the incident in order to supervise any rescue efforts, assist with them if necessary, and/or begin the investigative process so that the evidence is not destroyed.

The EHS Manager must report all significant incidents (fatal/injury) within 24 hours after their occurrence, notify Lighthouse of any social, labor, health and safety, security or environmental incident, accident or circumstance having, or which could reasonably be expected to have, any material adverse social and/or environmental impact or any material adverse impact on the implementation or operation of the operations of the Company in compliance with the applicable Reference Standards, specifying in each case the nature of the incident, accident, or circumstance and the impact or effect arising or likely to arise therefrom, and the measures of the Company or the relevant subsidiary, as applicable, is taking or plans to take to address them and to prevent any future similar event; and keep Lighthouse informed of the ongoing implementation of those measures; and within ten (10) days of a request by Lighthouse, provide such information as is reasonably requested by that party to confirm that the Company is in compliance with the ESMS.

PNPL shall also promptly notify Lighthouse, upon becoming aware of any: (i) litigation or investigations or proceedings which have or may reasonably be expected to have a Material Adverse Effect¹⁷; or (ii) any criminal investigations or proceedings against the Company or any Related Party, and any such notification shall specify the nature of the action or proceeding and any steps that the Company proposes to take in response to the same.

Such instances will receive priority follow-up in order to determine the underlying cause and the necessity of corrective measures to prevent recurrence. No significant mishaps or potentially hazardous situations are exempt from being reported to the Company's employees, investors, and stakeholders. The PNPL's accident/incident reporting format is attached as **Annexure-24**.

Incident Reporting Timelines

All incidents must be recorded immediately within the following time lines:

Table 12: Incident Reporting Timelines

Nature of ESG Event	Description	Action/PNPL Commitment
Health and Safety	Loss of life	Facility level Plant Head/ Safety Officer will immediately intimate corporate level EHS Manager and senior management so as to take any mitigating steps as relevant. The EHS Manager will inform the investor within 24 hours
Social / environmental	Material adverse impacts on communities and/or the environment	Facility level Plant Head/ Safety Officer will immediately intimate corporate level EHS Manager and senior management so as to take any mitigating steps as relevant. The EHS Manager will inform the investor within 24 hours

¹⁷ "Material Adverse Effect" means an event, occurrence, condition, change, development, omission or effect that: (a) is, or is likely to be, materially adverse to the valuation, business, operations, results of operations, condition (financial or otherwise), properties (including intangible properties), assets (including intangible assets) or liabilities of Company and/or the Subsidiaries; and/or (b) materially impairs or is likely to materially impair (i) the legality, validity or the enforceability of the Transaction Documents, (ii) the ability of any of the Warrantors (as defined in the Transaction Documents) to perform their respective obligations, undertakings and/or covenants under the Transaction Documents, and/or (iii) the ability of the Company to exercise full rights of ownership over the shares of the Company acquired by it pursuant to the Transaction Documents and enjoy all benefits associated with such shares;

Extreme event	Events linked to natural hazards	Preventive actions, immediate response, support from local authorities will be taken by facility level Plant Head or Safety Officer and other personnel and communicate the incident to EHS Manager & senior management immediately. The EHS Manager will inform the investor within 24 hours
Compliance	Material breach of law or any Show cause notice from Regulatory Authority	Facility level Plant Head or Safety Officer will communicate or inform the corporate level EHS Manager and senior management within 24-48 hours. The EHS Manager will inform the investor within 3 working days.
Compliance	Material breach of side-letter requirements	Facility level Plant Head or Safety Officer will communicate or inform the corporate level EHS Manager and senior management within 24-48 hours. The EHS Manager will inform the investor within 3 working days.
Extreme Event	Event linked to food safety and product recall	Facility level Plant Head or Safety Officer will communicate or inform the corporate level EHS Manager and senior management immediately. The EHS Manager will inform the investor within 3 working days.

9.4.2. Reporting

Based on the EHS and Social monitoring of each facility by EHS Manager and HR Department, consolidated EHS & Social progress report shall be prepared by the EHS Manager, compiling the information and observation of Monitoring Checklists (**Annexure-23A** and **Annexure-23B**). Observations of this consolidated report from all the facilities shall be reviewed by the senior management in ESMS Committee meetings.

9.4.3. Annual E&S Reporting

EHS Manager shall within sixty (60) days after the end of each Financial Year, deliver to Lighthouse an Annual E&S monitoring report indicating status of implementing the ESMS to the ESMS committee. Annual report shall provide at least following data on:

- + Manpower, Change in Organisational Setup
- + E&S compliances and non-compliances as per the E&S Corrective Action Plan, ESMS and applicable reference standards
- + KPIs Status
- + Number of incidents/accidents/first aid cases
- + Data breaches (if any)
- + Stakeholder engagement
- + Grievance cases
- + Employee training
- + Any material changes in ESMS
- + Any litigations, show-cause notices and/or regulatory action on the company
- + E&S capacity building undertaken etc.
- + Any other information which may be required by IFC in accordance with IFC Access of Information Policy¹⁸

Annual E&S monitoring report template of PNPL is provided in **Annexure-25**. The E&S report will be reviewed by the ESMS Committee/senior management to ensure that the E&S Compliances and ESMS are being properly implemented at PNPL. PNPL Management will submit the annual E&S report covering KPIs aligning Lighthouse requirement reporting to investors including NIIF, wherever required (on management discretion).

9.4.4. Information Disclosure and External Communications

PNPL will make sure that timely information about E&S safety issues is made available to its many stakeholders, including the general public, through its website and social media, so they can contribute meaningfully wherever required.

PNPL' website will be updated regularly (annually or need basis), as appropriate with the following contents:

- + Services offered; linked apps and websites; any new line of business;

¹⁸ "IFC Access to Information Policy" means IFC's policy dated January 1, 2012, which is available at: [http://ifcnet.ifc.org/intranet/ifcpolproc.nsf/AttachmentsByTitle/700101IFCPolicyDisclosureInformation_Effective+Jan+1+2012/\\$FILE/700101IFCPolicyDisclosureInformation.pdf](http://ifcnet.ifc.org/intranet/ifcpolproc.nsf/AttachmentsByTitle/700101IFCPolicyDisclosureInformation_Effective+Jan+1+2012/$FILE/700101IFCPolicyDisclosureInformation.pdf)

- + EHSS Policy;
- + Privacy Policy;
- + CSR Policy
- + PNPL' Board Members and leadership details;
- + Job vacancies, photos, short update articles for the public;
- + Linked public media monitoring for articles on PNPL; and
- + Contact information for submission of complaints/Grievances etc.

9.5. DOCUMENTATION CONTROL AND RECORDS

9.5.1. Documentation Control

Documents and records are crucial because they demonstrate the Company's performance and enable PNPL to prove that they have complied with all applicable legislation and/or PNPL's policies. To achieve a consistent document quality, all PNPL documents must adhere to and comply with the company's documentation procedure and document number. All rules, procedures, forms, job instructions, and reports that are compiled within the management system are included in the document system. The following guidelines govern the control of the documents:

- + Standardization (Formatting and rules of structure within the document);
- + Document Tracking (System that easily identify E&S documentation through a document control numbering system);
- + Approval processes for certain documents produced (e.g. All policies, plans produced require senior management approval);
- + Rules of updating, which specify how revision or change management must be followed. (The author must review changes and finally be approved by the concerned department).
- + Through its annual revision process, documents are viewed with its intention of applicability. EHS Manager will be responsible for documentation and record-keeping.

9.5.2. Recordkeeping

The relevant teams will see to it that corporate level original approvals, monitoring records, inspection & audit reports, training records, etc. are kept. All documentation must be reviewed by the EHS Manager, who will also preserve an electronic copy of each in one place for future use. At a minimum the following records will be maintained by PNPL:

- + E&S permits/approvals/returns;
- + EHS and Social monitoring records;
- + Induction training records;
- + Safety Audit report;
- + Job specific training records of employees;
- + Mock drill records;
- + Third party audit report;
- + MoM of GRC Meetings, ESMS Committee meetings etc.;
- + Accident investigation report;
- + Medical examination records of employees/workers;
- + Machineries and equipment examination records;
- + Fatal/incident/accident/near miss reports;
- + Correspondence with regulatory authorities such as Labour Department, etc.;
- + Complaints received and redressed;
- + Records as per respective Management Plans of PNPL;
- + Records related to the screening for setting up any new facilities;
- + Various Contract agreements.

In order to save the paper and other resources, all records preferably will be maintained in the soft copy (as required under the respective law or upto eight (8) financial years, whichever is higher) and as and when required hard copy will be printed.

9.6. MONITORING INDICATOR MATRIX

PNPL shall conduct Monitoring Activities on periodic basis and maintain the record of the same. E&S Monitoring Indicator Matrix including monitoring indicators, scope, maintenance of records and a responsible person for monitoring is provided as **Annexure-26**.